# OECD
## ECONOMIC SURVEYS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

# NORWAY

ORGANISATION DE COOPÉRATION ET DE DÉVELOPPEMENT ÉCONOMIQUES

JANUARY 1976

# BASIC STATISTICS OF NORWAY

## THE LAND

| | |
|---|---|
| Area (1 000 sq. km) | 324 |
| Agricultural area (1 000 sq. km) | 9 |
| Productive forests (1 000 sq. km) | 65 |

| | |
|---|---|
| Major cities (31.12.74): | |
| Oslo | 464 900 |
| Bergen | 213 992 |

## THE PEOPLE

| | |
|---|---|
| Population (31.12.74) | 3 997 525 |
| No. of inhabitants per sq. km | 12 |
| Net natural increase (average 1965-1974) | 26 974 |
| Per 1 000 inhabitants (average 1965-1974) | 7.0 |

| | |
|---|---|
| Civilian employment, 1974 | 1 659 000 |
| *of which:* Industry (%) | 34.2 |
| Agriculture, forestry and fishing (%) | 10.5 |
| Other activities (%) | 55.3 |

## PRODUCTION

| | |
|---|---|
| Gross domestic product in 1974 (millions of Kr.) | 128 762 |
| GDP per head ($) | 5 830 |

| | |
|---|---|
| Gross fixed capital formation (1974): | |
| Percentage of GDP | 32 |
| Per head, $ | 1 870 |

## THE GOVERNMENT

| | |
|---|---|
| Public consumption in 1974 (percentage of GDP) | 16 |
| General government current revenue in 1974 (percentage of GDP) | 49 |

| | |
|---|---|
| Composition of Parliament (No. of seats): | |
| Labour party | 62 |
| Conservative party | 29 |
| Centre (Agrarian) party | 21 |
| Christian Democrats | 20 |
| Liberal party | 2 |
| New People's party | 1 |
| Anders Lange's Tax Reduction party | 4 |
| Socialist Electoral league | 16 |
| Total | 155 |

Last general election: 1973

Next general election: 1977

## FOREIGN TRADE

| | |
|---|---|
| Exports of goods and services as a percentage of GDP (average 1970-1974) | 43 |
| *of which:* | |
| Gross freight earnings (1970-1974) | 15 |
| Main exports in 1974 (percentage of total commodity exports): | |
| Forestry products | 10 |
| Base metals and products thereof | 22 |
| Fish and fish products | 6 |
| Machinery, apparatus and transport equipment (excl. ships) | 12 |

| | |
|---|---|
| Imports of goods and services as a percentage of GDP (average 1970-1974) | 45 |
| Main imports in 1974 (percentage of total commodity imports): | |
| Ships (average 1970-1974) | 12 |
| Machinery, apparatus and transport equipment (excl. ships) | 23 |
| Raw materials (non-edible) incl. fuels and chemicals | 25 |
| Base metals and products thereof | 12 |

## THE CURRENCY

Monetary unit: Krone

| | |
|---|---|
| Currency units per US $, averages of daily figures: | |
| Year 1974 | 5.522 |
| November 1975 | 5.516 |

NOTE An international comparison of certain basic statistics is given in an annex table.

OECD ECONOMIC SURVEYS

# NORWAY

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

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***

The annual review of Norway
by the OECD Economic and Development Review Committee
took place on 11th December, 1975.

The present Survey has been updated subsequently.

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# INTRODUCTION

During the international recession, economic policy helped to maintain real output on an upward trend and, recently, to slow down the high rate of inflation. Nevertheless, influenced by a large fall in exports, the cyclical position of the economy experienced a marked change during 1975: from a situation characterised by excess demand early in the year to—by past standards—record high unemployment later in the year. In 1976, the predicted recovery of world trade, combined with a continued expansionary stance of economic policy should ensure a higher degree of resource utilisation, while the inflation outlook will depend heavily on the outcome of the biennial wage negotiations in the spring of 1976. The current external deficit may not fall significantly below the high 1975 level, but with oil exports expected to rise rapidly, a marked improvement should take place during the year.

Part I of the present Survey reviews 1975 developments, noting in particular the unexpected strength of private demand, the continued strong rise in prices and wages and the exceptionally large deterioration of the current balance of payments. The factors behind the substantial decline in net foreign exchange earnings of the shipping sector are analysed in Part II which also discusses the medium-term outlook for the international freight market and presents an updated picture of oil activity prospects until the beginning of the 1980s. Part III reviews recent monetary and fiscal policies as well as the 1976 policy stance outlined in the National Budget. The short-term outlook for output and demand, the balance of payments and prices and wages is discussed in Part IV in the light of the probable recovery of international activity. The main conclusions are summarised in Part V. Annex I reviews the post-war development of the Norwegian shipping sector in a national and international context, while the standard list of major economic policy events is given in Annex II.

# I RECENT TRENDS

*1975 in retrospect*

As noted in last year's Survey, expectations concerning domestic economic growth at the beginning of 1975 were remarkably strong, contrasting sharply with the fears of recession prevailing in most other Member countries. The boom conditions continuing throughout 1974 and an expansionary policy stance were expected to ensure a high level of employment during 1975. At the same time, it was thought likely that rapidly rising oil exports and lower import requirements of the oil sector would keep the cyclical rise of the current external deficit to a manageable size. On the other hand, with demand pressures likely to remain strong, there was general concern that the persistence of tight labour market conditions could result in further acceleration of inflation.

In the event, the deflationary impact of the international recession was much larger than anticipated. Indeed, the declines in commodity exports, net freight earnings and prices of used ships[1] totalled some 7 per cent of GDP, or almost twice

1 A large number of second-hand ships is exported every year to finance imports of new ships.

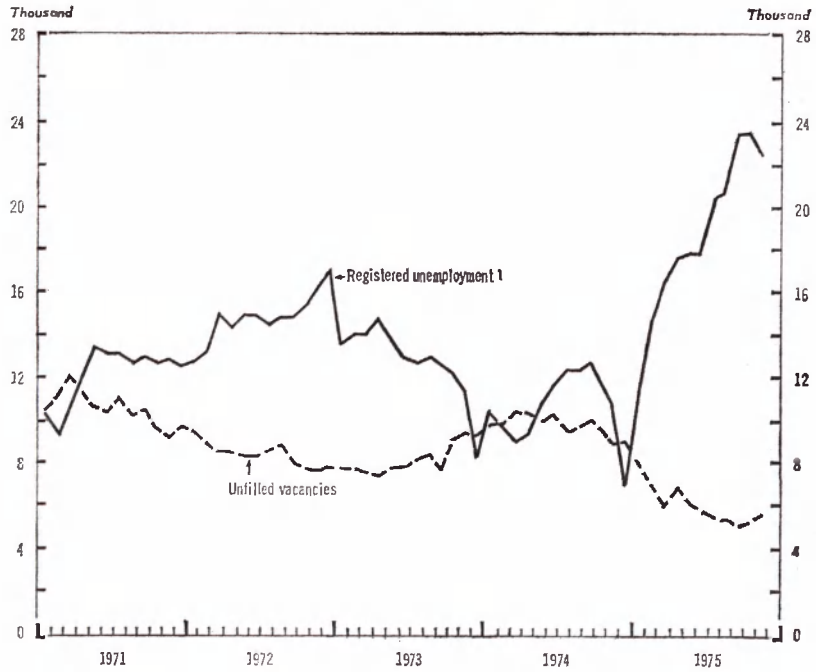
the estimated expansionary direct and indirect impact of discretionary budget changes. The contraction of foreign trade led to a substantial widening of the current external deficit, which, according to preliminary estimates, may attain as much as 9 per cent of GDP in 1975.

Against this background, it is rather surprising that domestic demand increased in line with initial predictions. Owing to an unusually steep decline in the private sector's savings ratio, continued buoyancy of investment activity and expansionary fiscal and monetary policies, final domestic demand rose by almost 6 per cent in volume. Moreover, as the slump in world trade was partly offset by lower imports and increases in stocks, real GDP rose in line with the predicted 5 per cent (Table 10). The rising activity in the oil sector contributed almost 3 percentage points to the expansion of overall output, while the shipping sector, for the first time since the early 1950s, exerted a restraining impact on GDP.

In these circumstances, pressures on resources have eased markedly in the course of the year. In the early autumn the unemployment rate, though remaining very low by international comparisons, reached the second highest level recorded in the post-war period, and unfilled vacancies fell to 20 per cent of the number of registered unemployed (Diagram 1). In response to this, wagedrift seems to have slowed down but, as predicted a year ago, the high contractual increases embodied in the biennial 1974 wage agreement served to increase wages for industrial workers in 1975 by about 20 per cent. Incomes policy measures—including higher subsidies, lower direct taxes and a temporary price stop for the last four months of the year—helped to

*Diagram 1* **Labour Market Developments**

Seasonally adjusted monthly figures




1 1973 figures are influenced by an estimated drop-out of 2 000 persons, formerly registered as unemployed, following the lowering of the retirement age as of 1st January 1973.

*Sources:* Arbeidsdirektoratet and OECD Secretariat.

moderate the cost-of-living adjustments of wages and salaries in September 1975, but came too late to prevent an acceleration in the rate of consumer price increases between 1974 and 1975.

*Strong rise in domestic demand*

Weaker exports, deteriorating labour market conditions and accelerating inflation have apparently not jeopardised consumers' or investors' confidence. Thus, after several years of rather hesitant household spending behaviour, private consumption is estimated to have risen by 5 per cent (volume) between 1974 and 1975. Judging by the retail sales index, the upswing in consumer spending started in the second half of 1974 and continued through the first ten months of 1975 with an especially marked increase in purchases of durable goods[2]. Consumer spending (current prices) in 1975 is probably running 17-18 per cent above the level of a year earlier, whereas the increase in disposable income (at 11-12 per cent) is lower than in 1974 and barely sufficient to compensate for higher prices[3].

The recorded fall in the private savings ratio of about 4 percentage points in 1975 (Table 1) can be attributed to two main factors: lagged spending effects of the high income increase in the second half of 1974, and a marked shift in the distribution of income in favour of wage and salary earners. According to official estimates, real disposable income of wage and salary earners increased on average at the same rate as total private consumption (5-6 per cent), while, in contrast to earlier years, the advance for pensioners, who have a comparatively higher savings ratio, was considerably smaller (2-3 per cent). Other types of income—including undistributed profits—must have declined in real terms[4]. As spending lags and income distribution

Table 1 **Private Income and Consumption**
Current Prices

| | 1973 | 1974 | 1975[1] | 1976[1] | 1974 | 1975[1] | 1976[1] |
|---|---|---|---|---|---|---|---|
| | *Kr. billion* | | | | *Per cent change* | | |
| GDP | 111.3 | 128.8 | 148.8 | 169.9 | 15.7 | 15.5 | 14.2 |
| Depreciations | 15.1 | 18.5 | 21.5 | 24.4 | 22.5 | 16.2 | 13.6 |
| Transfers to abroad | 1.5 | 2.3 | 3.2 | 5.0 | 53.3 | 39.1 | 56.3 |
| Net national income | 94.7 | 108.0 | 124.1 | 140.5 | 14.0 | 14.9 | 13.2 |
| Net tax payments | 28.7 | 30.8 | 37.0 | 42.2 | 7.3 | 20.1 | 14.1 |
| Private disposable income (Y) | 66.0 | 77.2 | 87.1 | 98.3 | 17.0 | 12.8 | 12.8 |
| Private consumption (C) | 59.6 | 67.3 | 79.3 | 89.8 | 12.9 | 17.8 | 13.2 |
| *Memo item:* | | | | | | | |
| C/Y[2] | 90.2 | 87.1 | 91.1 | 91.4 | −2.6 | +4.0 | +0.3 |

1 Secretariat estimates and forecasts.
2 Last three columns give change in ratio.
*Source:* National Budget for 1976.

2 For the first ten months, registration of new automobiles was up by 12.1 per cent, following a rise of only 1.3 per cent in 1974.

3 Consumer prices advanced by 11½ per cent in 1975; the price index for total domestic demand which may be a more appropriate deflator for private disposable income, rose by more than 15 per cent.

4 Apart from the problem of selecting an appropriate deflator, the assessment of real disposable income developments is rendered difficult by the lack of disaggregated income data.

effects cannot wholly explain the sharp decline in the savings ratio, it would seem that non-wage-earner households have reduced their current savings rather than their level of spending, thus contributing to the overall strength of consumption.

The rise in real gross fixed capital formation accelerated to almost 8 per cent in 1975, with the rates of change for the main sectors of the economy much less uneven than earlier, varying from 4½ to 18 per cent as compared with –36 to 70 per cent in 1974 (Table 2). Excluding oil sector and shipping investments[5], the development was very much in line with earlier predictions, reflecting the fact that a large proportion (some 60 per cent) of these investments is subject to quantitative controls, directly influenced by policy decisions, or determined by long-term plans, and therefore only relatively little affected by cyclical fluctuations.

Table 2 **Gross Fixed Asset Formation by Sector**

| | 1974 Kr. bill. | Percentage change (volume) from previous year | | | |
|---|---|---|---|---|---|
| | | 1973 | 1974 | 1975[1] | 1976[1] |
| Oil sector | 5.8 | 143.7 | 70.6 | 17.7 | 8.0 |
| Manufacturing | 6.5 | 8.7 | 35.8 | 12.0 | –6.5 |
| Dwellings | 6.8 | 3.6 | –1.3 | 4.0 | 4.0 |
| Shipping | 3.9 | 56.2 | –36.1 | 5.0 | –53.5 |
| Public sector[2] | 6.3 | 1.6 | 3.4 | 5.5 | 7.0 |
| Central Government | 2.0 | –3.7 | 2.5 | 7.6 | 4.0 |
| Local Government | 4.3 | 4.1 | 3.9 | 4.5 | 8.7 |
| Other industries and sectors | 12.0 | 1.5 | 2.9 | 5.3 | 6.5 |
| Total | 41.3 | 14.6 | 6.9 | 7.7 | –1.3 |
| Total excluding oil and shipping | 31.6 | 3.2 | 6.8 | 6.3 | 3.3 |

1 Secretariat estimates and forecasts.
2 Excluding public firms.
*Source:* National Budget for 1976 and earlier budgets.

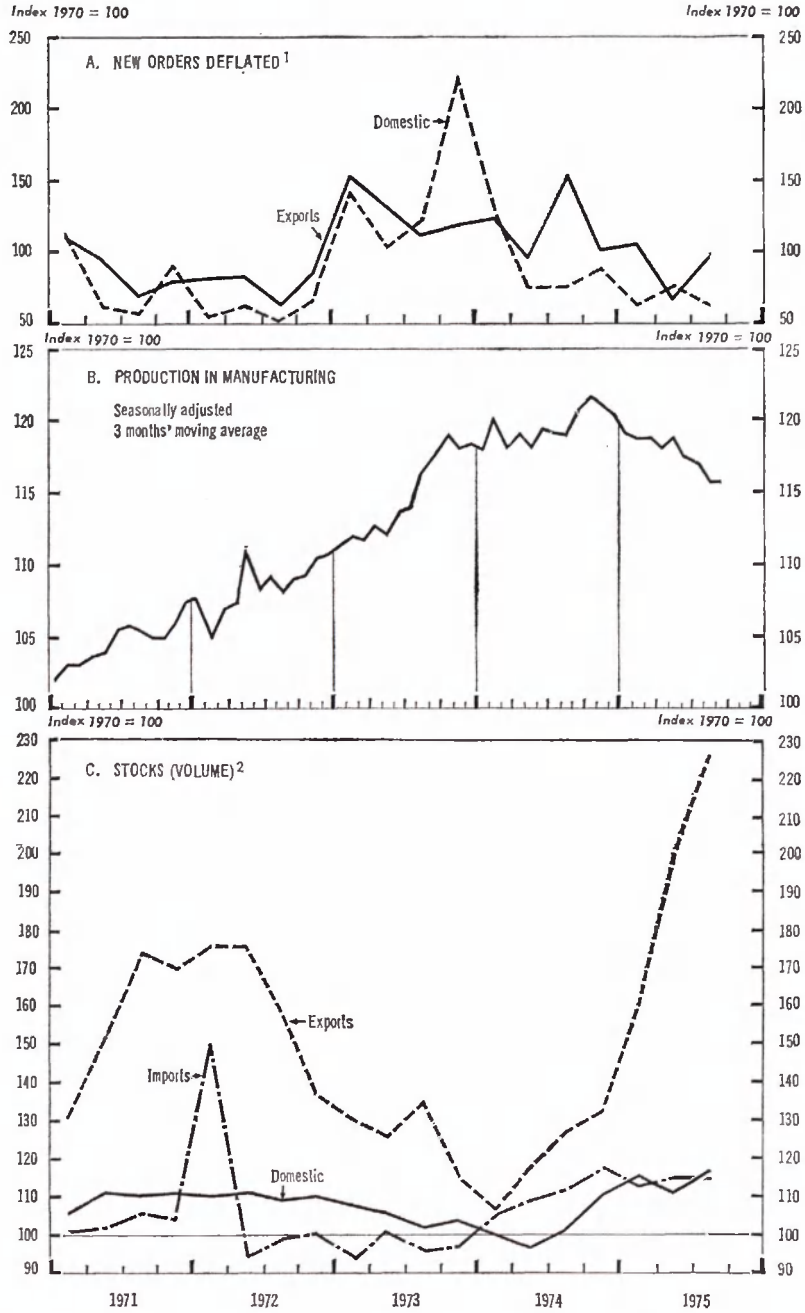
Short-term changes in demand conditions and the worsening business outlook have, however, influenced the pattern of investment in manufacturing. Some downward revisions of earlier investment plans were already made during the first half of the year, and this tendency may have become more pronounced later in the year[6], probably influenced by tight credit market conditions around the turn of the year, falling exports and rising stocks of unsold products. Nevertheless, the growth of manufacturing investment between 1974 and 1975 remained impressively strong. A deceleration from the 1974 boom rates was bound to occur and, in view of the existing capacity constraints and credit restrictions, a number of investment projects included in the August and November 1974 Surveys were probably too ambitious.

The marked weakening of export demand was accompanied by a large and partly

5 For mainly technical reasons, oil sector investments were somewhat lower than the predicted level. Purchases of new ships corresponded to earlier forecasts, but due to unexpectedly large exports of used ships (see Part II), the increase in ship investments was markedly smaller than predicted.

6 Contrary to the usual pattern, investment plans were revised downwards by 2½ per cent between November 1974 and February 1975, while a year earlier there was an upward revision of as much as 20 per cent. Later surveys taken in May and August did not suggest any major change which again deviates in a downward direction from normal developments. The weaker investment trend is confirmed by the latest Business Tendency Survey taken in October 1975, which showed a majority of firms predicting a decline in investment spending between the second and third quarters and expecting a further decline in the fourth quarter.

***Diagram 2*** **Indicators of Orders, Production and Stocks**




1 New orders in metal and engineering industries. The deflator used is the unweighted average of wholesale price indices for metals, metal goods and machinery and equipment.

2 Based upon a sample of industrial and wholesale trade firms.

*Sources:* Monthly Bulletin of Statistics and OECD Secretariat.

involuntary accumulation of inventories. Following the strong rise in 1974, it was generally expected that stockbuilding—though remaining positive—would decline in 1975. However, due to the unexpected severity of the export slump and assisted by favourable borrowing conditions (Part III), the level of inventories, notably of home-produced goods, moved up sharply. By the end of the third quarter, stocks (volumes) in industry and wholesale trade were 25 per cent above the level of a year earlier, with inventories of export products up by almost 80 per cent (Diagram 2). Stocks of imported goods, on the other hand, increased by only 3 per cent. Estimated demand and production developments suggest some decline in the rate of stock accumulation during the latter part of the year. Taking account of some reduction in oil drilling and production platforms under construction, this would point to about the same average level of stockbuilding in 1975 as in 1974, implying in turn a rather steep increase in stocks of products intended for export and a marked decline in inventories of imported raw materials[7].

*Accelerating rate of inflation*

After several years of relatively low rates of inflation, Norway's comparative cost/price performance has deteriorated significantly in 1975 (Table 3). While in 1974 the rise in consumer prices—owing to a large increase in subsidies—was held below 10 per cent and was among the lowest in the OECD area, 1975 saw an acceleration to more than 11 per cent, in spite of a marked decline in inflationary influences from abroad. Particularly large increases were recorded for food products and services. The acceleration in the overall index was mainly due to a substantial increase in the net impact of publicly-regulated prices and indirect taxes less subsidies. This factor alone pushed up consumer prices by almost 4 percentage points, thus matching the contribution of wages. While the price rise ascribed to domestic factors (Table 4) may exaggerate the " home-made " part of inflation[8] the underlying price trend was probably even steeper than indicated by the development in the consumer price index. Thus, according to official estimates, all domestic demand deflators (consumption, public expenditure and investments) rose at a faster pace, with an average increase of more than 15 per cent. Adjusted for the effects of the decline in prices of used ships[9], the total domestic demand deflator accelerated to as much as 12½-13 per cent, thus exceeding the increase of consumer prices by a significant margin.

An important factor behind the acceleration of prices was the upsurge in wage costs. Indeed, in the first quarter of 1975, hourly wages (industrial workers) were more than 25 per cent higher than a year earlier, or more than twice the rate recorded over the preceding 12-month period (Diagram 3). Contractual increases accounted for more than 16 per cent, while wagedrift added 8-9 per cent. The advance of both wage components slowed down in the course of the year[10] influenced, among other things, by deteriorating labour market conditions and incomes policy measures taken in connection with the indexation settlement in October (Part III). As a result, the average year-on-year rise should not exceed the 20 per cent mark by any significant margin.

Econometric studies of Norwegian wage behaviour presented and discussed

7 As inventory formation is partly determined as a residual in the national accounts, the estimated zero contribution of stockbuilding to GDP growth in Table 10 is subject to a high degree of uncertainty.

8 The official estimates presented in Table 4 are based on model calculations, which, however, do not fully allow for the indirect effects of foreign prices. Thus, part of the acceleration in the contribution of wages can probably be ascribed to the strong rise in export prices and/or past import prices.

9 Since exports of used ships is considered a negative investment, the *decline* in prices of used ships will *push up* the investment deflator as well as the deflator for total domestic demand.

10 By the third quarter the rate of wage increase had fallen to 16 per cent.

Table 3 **Consumer Prices in Selected OECD Countries**

| | Average year-to-year increase 1962-1972 | Percentage change during 12 months up to | | | | | |
|---|---|---|---|---|---|---|---|
| | | Dec. 1972 | Dec. 1973 | Dec. 1974 | March 1975 | June 1975 | Sept. 1975 |
| Norway | 5.1 | 7.6 | 7.6 | 11.3 | 11.8 | 12.0 | 12.6 |
| Denmark | 6.0 | 7.1 | 12.5 | 15.5 | 13.4 | 10.6 | 8.6 |
| Sweden | 4.7 | 6.3 | 7.5 | 11.6 | 7.8 | 10.6 | 11.1 |
| Finland | 5.7 | 7.1 | 15.5 | 17.0 | 18.5 | 18.1 | 16.5 |
| Austria | 3.9 | 7.6 | 7.8 | 9.7 | 9.2 | 8.3 | 8.7 |
| France | 4.4 | 6.9 | 8.5 | 15.2 | 13.5 | 11.7 | 10.7 |
| Germany | 3.2 | 6.5 | 7.9 | 5.9 | 5.9 | 6.4 | 6.1 |
| Netherlands | 5.4 | 7.8 | 8.2 | 10.9 | 10.3 | 10.3 | 10.4 |
| United Kingdom | 4.9 | 7.7 | 10.5 | 19.1 | 21.2 | 26.1 | 26.6 |
| United States | 3.3 | 3.4 | 8.8 | 12.2 | 10.3 | 9.3 | 7.8 |
| Japan | 5.7 | 5.3 | 19.1 | 21.9 | 14.2 | 13.4 | 10.3 |
| Total OECD | 3.9 | 5.1 | 10.3 | 14.4 | 12.2 | 11.9 | 10.4 |
| OECD Europe | 4.5 | 7.3 | 10.3 | 15.1 | 13.6 | 14.7 | 13.3 |

*Source:* OECD Secretariat.

Table 4 **Factors Influencing Price Developments**[1]
Contribution, per cent change from previous year

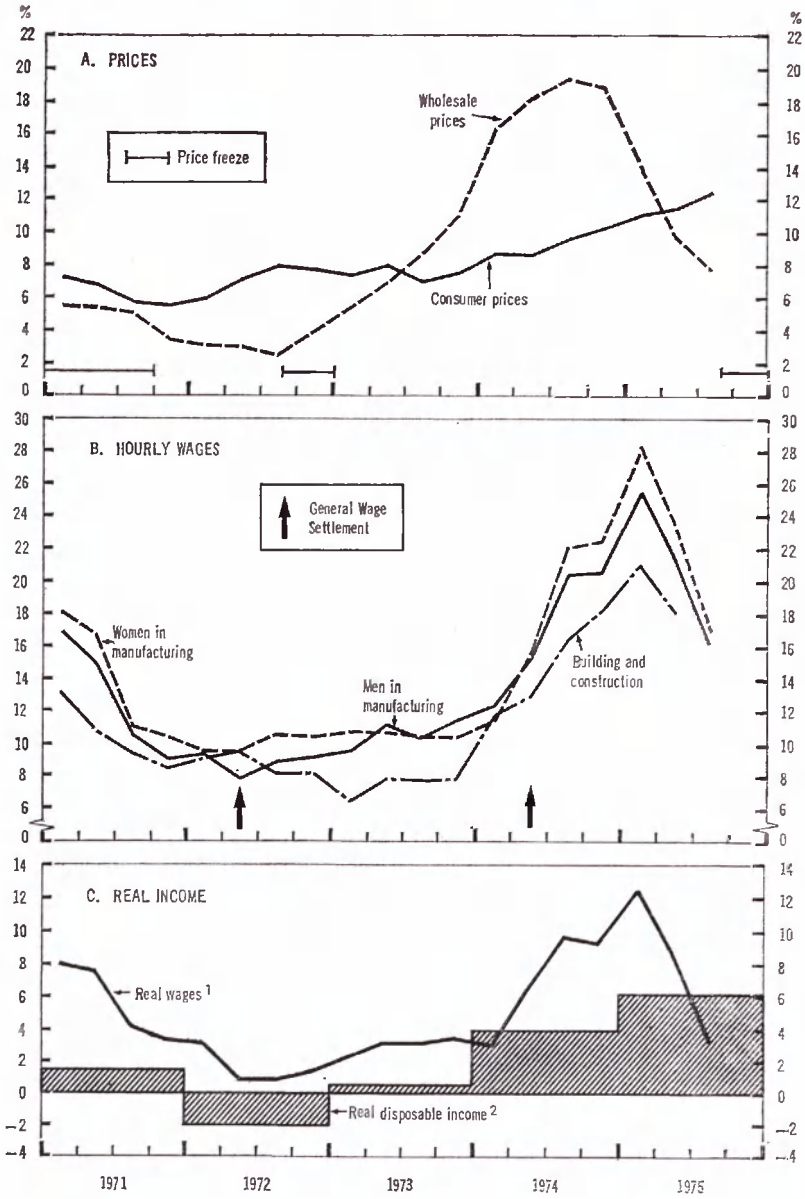
| | Consumer price index | | | Price index for domestic demand | | |
|---|---|---|---|---|---|---|
| | 1974 | 1975 | 1976 | 1974 | 1975 | 1976 |
| Impact from changes in: | | | | | | |
| External prices[2] | 5.4 | 1.8 | 1.9 | 5.1 | 5.1 | 2.3 |
| Wages | 2.9 | 4.1 | 2.8 | 4.9 | 6.6 | 4.4 |
| Labour productivity | –0.5 | –0.6 | –0.4 | –0.6 | –0.6 | –0.4 |
| Profit per unit of output | 0.6 | 1.4 | 0.9 | 0.5 | 1.6 | 0.9 |
| Publicly regulated prices[3] | 2.9 | 4.2 | 3.1 | 1.7 | 2.5 | 2.0 |
| Price subsidies | –2.6 | –0.5 | –0.2 | –1.2 | –0.2 | –0.1 |
| Indirect taxes | 0.3 | 0.1 | 0.1 | 0.1 | 0.2 | — |
| Other factors | 0.6 | 1.0 | 0.3 | 0.8 | 0.3 | 0.5 |
| Total | 9.6 | 11.5 | 8.5 | 11.3 | 15.5 | 9.6 |

1 Official estimates and forecasts.
2 Prices for imports and domestically produced import competing products.
3 Public charges and food prices.
*Source:* National Budget for 1976 and earlier.

in last year's Survey[11] support the impression that 1974-75 wage developments have been out of line with past trends. Indeed, extrapolating the function relating to the contractual wage component by using the actual 1974 and 1975 values for the explanatory variables[12], the estimated increase is only half as large as the actual 16 per cent. As far as wagedrift is concerned, the predicted rate is only marginally

11 See OECD Economic Survey of Norway, 1975, Part II and Annex I.
12 The wage equations were based on observations for the 1954-73 period, and the variables explaining contractual increases were found to be consumer prices, income tax rates and changes in wage differentials in settlement years.

*Diagram 3* **Price and Wage Developments**
Percentage changes from previous year




1 Hourly wages for men in manufacturing deflated by the consumer price index.
2 Estimated average year-on-year change in real disposable income for a middle income group (couple with two children earning Kr. 40 000 in 1974 and Kr. 50 000 in 1975).

*Sources:* Monthly Bulletin of Statistics and National Budget for 1976 and earlier.

smaller than the actual one[13]. Such projections are of course subject to large stochastic errors and the distinction between contractual wage increases and wagedrift is rather ambiguous. Nevertheless, there is little doubt that the 1974 biennial wage agreements were clearly outside the range experienced in the past, possibly pointing to certain structural changes or an upward shift of the " Phillips curve ".

It is difficult to identify any specific reasons for this wage explosion, but the decline in real disposable income during the preceding contract period (Diagram 3) had probably led to a more aggressive wage behaviour. In addition, the decentralised nature of the 1974 settlement—which made it more difficult to bring fully into play the moderating influence of the traditional tripartite apparatus—might have been an important factor. A general price-income bargaining approach would have been particularly desirable in 1974 because of the extremely tight labour market conditions[14]. Apart from relatively high standard wage increases, the stipulated compensation rate for price increases (80 per cent) was high in comparison with that of past agreements, and indexation adjustments were made twice during the two-year settlement period. On the other hand, it should be noted that the sectoral settlements contain a number of common features which are normally associated with a centralised agreement and that pressures at local and branch levels had probably been building up during the preceding years[15], suggesting that an enforced centralised settlement might well have accelerated wagedrift.

*Marked deterioration in the foreign balance*

According to preliminary estimates, the current external deficit in 1975 is likely to exceed Kr. 12 billion ($ 2.2 billion) corresponding to almost 9 per cent of GDP. This exceptionally high deficit—in relative terms higher than in any Member country except Iceland—can be related to two main factors:

(*i*) The decline in world trade, which, according to Secretariat estimates, reduced import demand in Norwegian foreign markets by almost 6 per cent (volume terms). The associated slump in the international freight market caused a reduction in Norwegian gross freight earnings by 15 per cent (current prices) and a decline in the average price of exported used ships by almost 50 per cent. Lower merchandise imports, combined with a decline in the shipping sector's real expenditure abroad and a larger number of exported used ships, cushioned the impact on the current balance, but in total the deficit on the trade balance was Kr. 1½ billion larger than initially forecast, while the surplus on the freight balance fell 30 per cent (or Kr. 4 billion) short of the expected level.

(*ii*) An unfavourable export commodity structure from the point of view of the international business cycle. An important feature of the 1975 development was that inventories were run down on a large scale in a number of Member countries[16]. Although available statistics are insufficient for assessing the inventory developments of different goods, it would seem that stocks of input goods declined at a more rapid rate than other inventories.

13 The sharp rise in export prices and the very tight labour market conditions around the turn of the year "explain" more than 70 per cent of wagedrift. In addition, wagedrift seems to have been influenced by consumer prices and changes in wage differentials in settlement as well as non-settlement years.

14 As noted in the econometric analysis included in last year's Survey, labour market conditions were—somewhat surprisingly—not found to have a significant influence on contractual increases. This may not be unrelated to the fact that the observation period included only two years with decentralised agreements.

15 The previous decentralised agreement was concluded in 1961.

16 Stock adjustments have, according to Secretariat estimates, reduced the level of production by 2-2½ per cent in the seven major OECD countries.

Since 40 per cent of Norway's merchandise exports consists of raw materials and intermediate goods, it was probably the downturn of the international stock cycle rather than loss of competitiveness that has been the main reason for the loss of market shares[17].

Despite the deterioration in the current balance and certain difficulties in obtaining foreign loans for shipbuilding and the shipping sector, 1975 has seen a rise of 14 per cent in the level of foreign exchange reserves. However, with a marked shift in the composition of the long-term capital inflow the basic balance will probably show a deficit of some size. Public sector borrowing—largely by the Central Government—may cover almost half of the current deficit, compared with a "financing share" in the much smaller 1974 deficit of only one-third[18]. By the end of the year, the level of total net foreign debt will probably have reached Kr. 33 billion, corresponding to more than 20 per cent of GDP in current prices. Whether this relatively high liability could possibly become a policy constraint in the future depends very much on the medium-term outlook for shipping and oil revenue, which will be reviewed in the following chapter.

## II MEDIUM-TERM BALANCE OF PAYMENTS DEVELOPMENTS[19]

### A *The Shipping Sector*

#### (a) *Main factors behind the present slump*

As noted in Part I, an important factor behind the sharp deterioration in the foreign balance in 1975 was the steep fall in net foreign exchange earnings of the shipping sector. Indeed, freight receipts net of the shipping sector's current and capital expenditure abroad dropped from about Kr. 10 billion in 1974—corresponding to 7½ per cent of GDP and almost 20 per cent of total exports—to Kr. 3.5 billion. Since, at the same time, the current external deficit of the "domestic" sector increased sharply, the surplus of the shipping sector covered only 25 per cent of the total non-oil deficit, as compared with 80 per cent on average for the previous five years. This development has been the result of several factors:

(*i*) As noted, gross freight earnings in current prices fell by some 15 per cent, as the general decline in world trade meant lower volumes of freight services with the accompanying steep declines in freight rates being exacerbated by a simultaneous strong rise in the supply of available tonnage. Various cost-saving measures—including slow steaming—held down current expenditure abroad, but in total, net freight earnings fell to some 70 per cent of the level recorded in 1974[20].

17 Weighted by the geographical export structure of Norway, foreign import demand shrank by 5-6 per cent (volume) in 1975 while Norwegian merchandise exports (excluding oil and ships) fell by some 12 per cent with particularly steep declines recorded for raw materials (wood products and pulp), chemicals, and semi-manufactured goods (paper and non-ferrous metals).

18 In view of the large current deficit and the financing problems of the shipyards and the shipping sector, the Parliament has authorised the Government to borrow up to Kr. 5 billion abroad, including Kr. 1 billion guarantees for private capital imports. The main sources of public borrowing are the U.S. and German capital markets, but large amounts have also been obtained from the Euro-capital market and directly from Arab countries.

19 The domestic and international importance of the Norwegian shipping sector as well as the development over the past 20 years is described in Annex I.

20 The depreciation of the dollar in relation to the Norwegian Krone contributed to the decline in net freight earnings in local currency.

(*ii*) Following an exceptionally low level of investment in 1974, imports of new ships (constant prices) increased by more than 25 per cent in 1975 and together with rising building costs pushed up the import bill for new ships by 35 per cent, corresponding to about 30 per cent of the total rise in import expenditures. Moreover, since imports of new ships are to a large extent financed by long-term foreign loans, the shipping sector's net interest payments to abroad increased by some Kr. 300 million.

(*iii*) Due to the collapse of the international freight market, prices of second-hand ships declined substantially. Since the turnover rate of the Norwegian fleet is high by international comparisons, as well as in relation to the capital stock of traditional domestic sectors[21], proceeds from exports of used ships normally constitute an important source of finance for the purchase of new ships. Despite a strong rise (40 per cent) in the number of exported used ships between 1974 and 1975, the export *value* fell by as much as 25 per cent.

In the past, the shipping sector has typically been subject to greater cyclical instability than other sectors of the economy. The high degree of competition in international freight markets combined with the highly capital-intensive nature of maritime transport has made freight rates particularly sensitive to fluctuations in world trade. Foreign exchange earnings of the Norwegian shipping sector, however, have until recently fluctuated less violently since a relatively high share of the fleet has been operating on long-term contracts. As can be seen from Diagram 4 there have been four instances, 1952-54, 1958, 1963 and 1975, during the postwar period when net freight earnings of the shipping sector showed an absolute decline while in volume terms a drop in the export of shipping services was recorded only twice (1952 and 1975). In no case was the deterioration of the shipping sector's current balance as dramatic as in 1975. It should be noted, however, that the slump in the freight market, which started in the course of 1974, followed upon two exceptionally good years which had pushed freight earnings to unsustainably high levels.

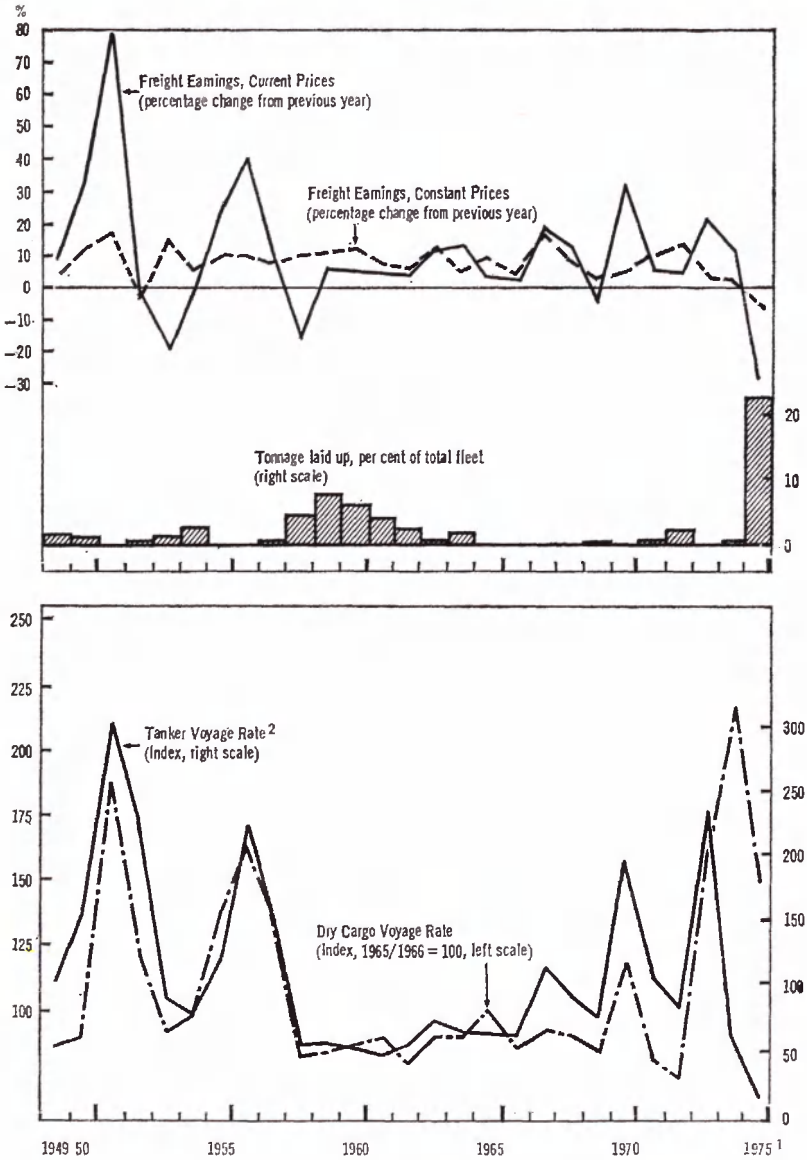
The 1972-1973 international business upturn was the strongest since the Korean boom. It was accompanied by excess demand for freight services, resulting in steep increases in freight rates and the contracting of new ships. Especially tankers operating on the spot market recorded huge profits, and total net freight earnings in 1973 increased by almost 20 per cent compared with some 5 per cent during the previous two years. 1974 saw another above-average increase in freight receipts although signs of a rapidly widening demand/supply gap became increasingly manifest. The oil crisis and the ensuing worldwide recessionary tendencies resulted in a decline in demand for tanker tonnage and in tanker freight rates. A moderate upward trend in demand for other types of tonnage, together with an increase in average haul-length, prevented, however, world demand for shipping services from falling[22], and the relatively large share of the fleet on long-term contracts cushioned the immediate impact of this development on the Norwegian shipping sector. Furthermore, as expenditures for investment in new ships were low by past standards and in relation to the stock of contracted future deliveries[23], it is perhaps not surprising that the current account surplus of the shipping sector registered an all-time high in 1974 of as much as Kr. 9 ½ billion, equivalent to almost 8 per cent of GDP. While foreign ex-

21 On average the Norwegian fleet is renewed every nine years.

22 Between 1973 and 1974 total shipping demand—measured as ton-mile transport performance—rose by only 5 per cent, compared with 17 per cent during the preceding twelve-month period; cf. Maritime Transport Committee Annual Report for 1974.

23 In 1974 gross investments in ships were only 9.4 per cent of total fixed capital formation and 33.5 per cent of net freight earnings, compared with respectively 14.2 and 44.5 per cent on average for 1970-73. As of 31st December, 1973, 5 million g.r.t. were on order by Norwegian shipping owners, of which only 19.2 per cent was delivered in the course of 1974.

*Diagram 4* **Development in Net Freight Earnings, Lay-up and Freight Rates**




1 January-June.

2 1949-1974 NSN Index for all sizes of tankers; 1975 for tankers of 150 000 d.wt. and above. Basic values expressed as: 1949-1956 MOT Schedule Flat = 100, 1957-1962 Scale No. 3 Flat = 100, 1970-1972 Points of Worldscale, 1972-1974 Points of Worldscale (dollar schedule).

*Sources:* National Accounts 1954-1970, National Budget for 1976, Statistical Yearbook of Norway for 1975 and earlier years, and Norwegian Shipping News.

change earnings of the shipping sector during the two years preceding the recent slump in world trade were clearly boosted by special and temporary factors, it is worth noting that there had also been an apparent strengthening in the underlying external position of the shipping sector during the decade prior to the present crisis. Indeed, as can be seen from Table 1 of Annex I, the traditional current account deficit

with the rest of the world, including " mainland Norway ", tended to decline during the sixties and was replaced by a significant surplus during the following five-year period[24].

In 1975, however, the crisis on the international freight market assumed much greater proportions with sagging freight rates and the number of laid-up ships increasing rapidly. The world-wide decline in activity and trade combined with energy-saving measures and efforts to increase indigenous sources of energy accelerated the decline in demand for tanker tonnage. The consequences of this development on the freight market were exacerbated by a substantial rise in the supply of tankers following the first deliveries of new ships contracted in large numbers during the previous boom in the freight market. Freight rates for other carriers have also been affected, partly in response to the general development in world trade and partly as a result of tankers and combination carriers being transferred to the dry cargo market. Consequently a number of shipowners have chosen to lay up ships rather than enter new and unprofitable contracts or operate on the spot market. By the end of November 1975, 12 per cent of the total world fleet had been laid up. The lay-up rate for tankers amounted to 13 per cent, even though slow steaming had reduced tanker capacity by some 15 per cent and more days have been used for repair works or spent waiting for cargoes in the loading areas.

In sharp contrast to previous periods of slack, the 1975 crisis hit the Norwegian shipping sector even more than most other shipping nations. By the end of November 1975, 40 per cent of the tanker fleet had been laid up. The overall lay-up ratio stood at 25 per cent, i.e. was higher than for any other post-war year and almost as high as during the world economic crisis in the early 1930s. This disproportionately large impact can be related to two factors:

(*i*) Due to greater uncertainty as regards the inflation outlook, and exchange rate movements, Norwegian shipowners have been more hesitant in recent years to enter long-term contracts. Combined with an apparent shift in the risk attitude concerning the spot market, this has resulted in a decline in the average contract period, implying that a much larger proportion of the fleet than in earlier recessions was exposed to the vagaries of the spot market[25].

(*ii*) The crisis has been particularly strongly felt in the tanker market where more than a third of the total world fleet is at present owned by the oil companies. Norway's tanker fleet operates almost wholly on the so-called independent market, which until recently had to carry the full brunt of the slump[26].

With rising interest payments and growing deliveries of new ships, the shipping sector experienced a severe liquidity squeeze in 1975, which stimulated exports of used ships. However, prices of second-hand ships have been so depressed that in many cases they did not even cover mortgages on the ships. To prevent sales of ships at prices below their estimated long-term real value, and to ease the credit conditions for the shippng sector as well as the operation of oil rigs, the Norwegian Government in October 1975, proposed a temporary guarantee arrangement which has recently been approved by the Parliament. A guarantee institute was established

24 The swing from a deficit to a surplus position as defined in Table 1, Annex I indicates that during the 1970-74 period net freight earnings were not only in excess of the value of net ship imports, which is typically the case, but that net foreign exchange earnings were also more than sufficient to " finance " current outlays in Norway, mainly consisting of wages, repair works and purchases of new ships.

25 At present 60 per cent of the tanker fleet is on contracts of more than 12 months' duration, compared with 75 per cent on average for 1971-74.

26 In 1974 the Norwegian tanker fleet accounted for 15 per cent of total tonnage available on the independent market.

in early December; it is jointly run by ship and rig owners, the Government and credit institutions engaged in the financing of ships and rigs. The credit guarantee scheme is open for all owner-companies willing to accept (together with the Government) liabilities vis-à-vis other participants and able to provide a bank guarantee or other collateral. The new institute can provide guarantees for loans covering various kinds of expenditures related to shipping and oil rig activities[27].

(b) *Medium-term outlook*

While the establishment of the temporary guarantee scheme should alleviate the worst effects of the present crisis, the medium-term outlook for the shipping sector points to several years of depressed earnings. It has been estimated that, at the end of 1974, there was already an excess supply of world tanker tonnage corresponding to some 15 per cent of available capacity. Even anticipating massive cancellations of orders, large-scale transfers of combination carriers to the dry cargo market and extensive scrappings, internal Secretariat estimates suggest that by 1980 the available fleet will show a further increase of at least 15 per cent; under less optimistic assumptions it could even increase by as much as 50 per cent in relation to the 1974 level. The medium-term demand forecast for tanker tonnage shows an even wider range of possible outcomes. If the present relative price of oil remains unchanged and the world economy is operated at full capacity in 1980, total demand for oil shipments may still be running some 10-15 per cent below the 1974 level, assuming full use of the Suez Canal and new oil pipelines in the Middle East[28].

Even under more optimistic assumptions, it is hard to see that equilibrium in the tanker market can be restored before the end of this decade. Conversions of tanker orders into orders for dry bulk ships and employment of combination carriers in the dry cargo market[29] should serve to gradually reduce excess tanker tonnage but will at the same time increase supply in other freight markets. Combined with a relatively slow recovery of world trade, this development might well lead to rising dry cargo lay-up which so far has remained surprisingly low. The medium-term outlook for the dry bulk market would, nevertheless, seem less unfavourable than for the tanker market. Despite a continued relatively high inflow of new orders, the existing order stock for bulk carriers is much lower than for tankers, and demand for dry cargo transportation can be expected to grow faster than demand for oil shipments. In these circumstances market equilibrium might be regained at an earlier date than for tankers[30].

Certain changes in the structure of demand and supply can be expected to aggravate rather than ease the " over-capacity " problem. Thus, the construction of refineries in oil-producing countries could severely affect demand for crude oil carriers and growing shipping fleets in developing countries could further reduce the demand placed with traditional shipping countries. It cannot be excluded that multilateral or unilateral government interventions to reduce the present tanker glut as well as official action in support of the shipbuilding industry could have some adverse effects for Norway. With a low average age of the fleet and a large number of modern and efficient ships, Norway would seem to be in a relatively favourable

27 Further details of the temporary guarantee arrangement are given in Annex II.

28 In assessing the demand projections, it is important to note that the future demand for oil shipments is highly sensitive to changes in the assumptions made for the oil price, the overall level of GDP and the price and income elasticities for oil, as well as some other factors.

29 In 1973, more than 80 per cent of all combination carriers were employed in oil transport, while for the first ten months of 1975 this ratio fell to 42 per cent. The number of such ships has shown a particularly strong rate of growth in recent years and in 1974 constituted 10 per cent of total tonnage employed in oil trades.

30 A rising number of tankers is employed in shipments of grain but this development has only a marginal effect on the supply/demand structure.

position to benefit from a general upturn in demand for freight services. On the other hand, the structure of the Norwegian fleet, with some 50 per cent of total tonnage falling on tankers (of which 45 per cent in ships larger than 100 000 g.r.t.) and with the whole tanker fleet operating in the competitive oil market[31], makes Norway particularly vulnerable to the present crisis and to changes in the structure of demand and supply.

In a recently published revision[32] of the medium-term outlook for Norway[33], the authorties have tentatively assumed that by 1980 net freight earnings (current prices) will be some 8 per cent below the 1974 level, but almost 30 per cent above the level expected for 1975 (Table 5). Despite the large degree of uncertainty attaching to any forecasts for the development of the shipping sector over the next five years, it would seem that in the light of recent developments this estimate is on the optimistic side. Even in the event that net freight earnings improve in line with the official estimates, the implication would be that lay-up rates remain high unless the fleet is reduced to the level of 1974. Hence, even this relatively favourable outlook embodies problems for the shipbuilding industry and other domestic sectors catering for the shipping sector[34].

Table 5 **Medium-term Developments in the Current Account of the Balance of Payments**
Current prices, official estimates

| | 1974 | 1976 | 1980 | 1970-1974 | 1974-1976 | 1976-1980 |
|---|---|---|---|---|---|---|
| | *Kr. billion* | | | *Percentage change, annual rate* | | |
| Exports | 61.4 | 71.9 | 146.5 | 16.4 | 8.2 | 19.5 |
| Commodities | 28.3 | 33.1 | 62.4 | 16.2 | 8.2 | 17.2 |
| Oil and gas | 0.5 | 7.4 | 37.2 | — | 284.0 | 49.7 |
| New ships and oil rigs | 2.0 | 2.8 | 2.5 | 25.5 | 18.3 | –5.5 |
| Used ships | 4.1 | 2.8 | 1.7 | 31.3 | –17.4 | –11.7 |
| Gross freight earnings | 20.7 | 16.1 | 22.6 | 13.4 | –11.8 | 8.9 |
| Travel and other services | 5.6 | 8.2 | 14.5 | 15.0 | 21.0 | 15.3 |
| Oil drilling services | 0.3 | 1.7 | 5.6 | — | 13.8 | 34.7 |
| Imports | 64.7 | 78.4 | 119.7 | 17.1 | 10.1 | 11.2 |
| Commodities | 40.9 | 50.0 | 83.5 | 14.7 | 10.6 | 13.7 |
| Oil sector investments | 4.4 | 6.6 | 7.6 | — | 22.5 | 3.6 |
| Ships | 5.0 | 6.0 | 3.8 | 13.6 | 9.5 | –10.8 |
| Shipping expenditures abroad | 9.0 | 7.9 | 11.9 | 17.7 | –12.3 | 10.8 |
| Travel and other services | 5.4 | 7.9 | 12.9 | 15.1 | 21.0 | 13.0 |
| Trade balance | –3.3 | –6.5 | 26.8 | | | |
| Interest and transfer balance | –2.3 | –5.0 | –6.8 | | | |
| Balance on current account | –5.6 | –11.5 | 20.0 | | | |

*Source:* National Budget for 1976.

31 I.e. that part of the oil market not covered by ships owned by the oil companies.

32 See National Budget for 1976, Annex I.

33 See Parliamentary Report No. 50: " National Resources and Economic Development ", Oslo, 1975.

34 In the official medium-term outlook, net exports (current prices) from the shipbuilding industry, which also includes oil rigs, is expected to decline at an annual rate of 5.5 per cent (1976-80) reflecting both the depressed conditions of the international freight market and some levelling off in the oil exploration activity. If, however, deliveries to the Norwegian shipping sector are also included, the rate of decline might be even higher and the impact on employment would be substantially larger.

## B *The Oil Sector*

### (a) *Revised production estimates*

Whatever the timing and degree of recovery in the freight market, there can be little doubt that within the next few years the shipping sector will be replaced by the oil sector as the principal foreign exchange earner of Norway. According to official estimates, the export value of oil and gas will rise steeply over the next two years and may,by 1980, have attained a level of some Kr. 37 billion. Allowing for a further increase in imports of machinery and equipment and higher dividend and interest payments, the oil sector's net contribution to the current account of the balance of payments in 1980 is estimated at around Kr. 28 billion, corresponding to about 45 per cent of the expected value of traditional merchandise exports. The implications of such a development for the Norwegian economy and the various possibilities for using the extra wealth were discussed in the 1974 OECD Survey of Norway. While the theoretical considerations and policy suggestions put forward at that time remained valid, important developments and revisions have since taken place which not only change the statistical basis of the earlier analysis but also reduce the size of the adjustment problems at least for the next five years.

With explorations still being confined to the southern part of the continental shelf (south of 62 parallel), important new discoveries have been made since the publication of the 1974 Survey. The new oil fields will probably ensure that Norway remains a net exporter of energy well into the next century. At the same time, however, production at the fields first discovered has been delayed for technical reasons while investments (to a large extent imported) have been stepped up. As a result, the oil sector has up to now substantially contributed to the current external deficit. The recent opening of the oil pipeline from the Ekofisk field to Teesside in Scotland is expected to double the level of production between 1975 and 1976 and the completion of the gas pipeline to Emden (West Germany) by late 1976 should result in another doubling of the production value in 1977. Consequently Norway should emerge as a net oil exporter in 1976, but it will probably take at least two more years before net exchange earnings of the oil sector will offset the large deficit of the other sectors; two years ago it was foreseen that Norway would become a net exporter of capital already in 1977.

Thus, given the loss of strength of the shipping sector and the increased deficit on traditional merchandise trade on the one hand, and technical production delays and deliberate policies to control the rate of oil exploration and exploitation on the other hand, the " problems of richness " related to the use and distribution of a large additional income in a non-inflationary and equitable way would now seem to be more remote than two years ago. Indeed, due to the much weaker balance-of-payments situation prior to the oil export boom, the overall current account surplus expected for 1980 will probably be significantly smaller than the cumulative deficit in 1975 and 1976 and may just be sufficient to match the current amortization payments on foreign debt[35]. Thus, it may only be in the early 1980s that Norway will be confronted with the principal policy option of becoming an important and growing net creditor nation, or raising the level of domestic spending on home-produced and imported goods and services by using the extra oil revenue[36]. In the latter case the external surplus would fall, with the size of the decline depending on how much the

35 Norway's net foreign liabilities can be expected to peak at around Kr. 50 billion by the end of 1977.

36 In contrast to earlier estimates, the revised official medium-term outlook does not contain specific estimates for the share of the oil sector revenue to be spent domestically. The existence of this revenue source may therefore be considered as a reserve, which will facilitate the maintenance of full employment conditions by reducing or eliminating the foreign balance constraint.

combined saving-investment surplus of the private and public sectors is being reduced. However, to the extent that the extra spending is not directly met by higher imports or internal use of export goods, the domestic absorption of the current account surplus would have to be accompanied by a shift of resources from the exposed to the sheltered sectors.

(b) *Structural employment shifts*

It could be argued that the weak demand for traditional Norwegian exports in 1975 and the uncertain prospects for a quick recovery (Part IV) have improved the conditions for a smooth absorption of the oil sector surplus. The Government—in anticipation of future higher oil revenues—has been free from balance-of-payments constraints and able to introduce important tax relief and subsidy measures with a view to sustaining domestic demand and employment. While the accompanying shift of resources from the exposed sectors to the sheltered sectors and oil-related activities recorded in 1975 could be seen as part of the required internal adjustment of the employment structure, it may not be easy nor even desirable to consolidate these structural shifts if world demand for Norwegian export products returns to its former trend. Hence, the outflow of resources from export and import competing industries induced by the present slump in world trade has only partly solved the long-term adjustment problem, and future years will no doubt see rather large employment shifts within the exposed sector.

In this context, it is interesting to note that, according to the revised official medium-term outlook (Table 6) the change in the employment structure between 1974 and 1980 is foreseen to be considerably smaller than suggested by earlier estimates. Taking account of some increase in employment in off-shore and on-shore oil activities, the traditional export and import competing industries are expected to lose 13 per cent of their 1974 labour force by 1980 compared with a loss of 20 per cent implied by previous estimates. The postulated decline of employment in exposed industries is still significantly higher than an extrapolation of the previous six years' trend would suggest (Table 6) but the anticipated and likely contraction of employment in shipping should facilitate the achievement of this target. On the other hand, current labour market surveys do not support the prediction that two-

Table 6 **Employment by Sector, 1974-1980**
Official estimates

| | 1974 | 1976 | 1980 | 1968-1974 | 1974-1976 | 1974-1980 | 1976-1980 |
|---|---|---|---|---|---|---|---|
| | 1 000 *man-years* | | | *Percentage change, annual average* | | | |
| Sheltered sectors | 1 240 | 1 280 | 1 352 | 1.3 | 1.6 | 1.5 | 1.4 |
| Agriculture | 123 | 114 | 96 | –5.3 | –3.7 | –4.0 | –4.2 |
| Industry | 127 | 129 | 132 | 1.1 | 0.8 | 0.7 | 0.6 |
| Public services | 301 | 317 | 352 | 4.5 | 2.7 | 2.7 | 2.7 |
| Others sectors | 689 | 720 | 772 | 1.6 | 2.2 | 1.9 | 1.8 |
| Oil sector and related industries | 5 | 7 | 16 | — | 18.3 | 21.4 | 23.0 |
| Exposed sectors | 342 | 312 | 297 | –1.3 | –4.5 | –2.3 | –1.2 |
| Forestry and fishing | 32 | 30 | 28 | –6.2 | –3.2 | –2.2 | –1.7 |
| Industry | 264 | 243 | 236 | 0.3 | –4.1 | –1.9 | –0.7 |
| Other sectors | 46 | 39 | 33 | –5.6 | –7.9 | –5.4 | –4.1 |
| Total employment | 1 587 | 1 599 | 1 665 | 0.7 | 0.4 | 0.8 | 1.0 |

*Source:* National Budget for 1976.

thirds of the envisaged cumulative shift will take place during the 1975-76 period[37]. It remains therefore to be seen to what extent changes in the employment structure accommodating the demand and balance-of-payments outlook can be brought about without inflationary shifts in relative prices and wages in favour of sheltered industries. The lower the price elasticity of demand for labour in the exposed industries, the greater would be the need for adopting extensive labour market and incomes policy measures as a means of short and medium-term stabilisation policies.

## III ECONOMIC POLICY

Over the past twelve months or so the main short-term economic policy objectives have been to prevent the international recession from spreading into Norway and to reduce the inflationary potential embodied in the 1974 biennial wage agreements. To support demand and employment the previous restrictive monetary stance has been gradually reversed and the expansionary nature of the 1975 budget strengthened in the course of the year. At the same time the Government has become increasingly concerned about the persistently strong cost-push pressure, but in view of the fact that 1975 was a non-settlement year the scope for action on the wage side has been limited. The Government was, however, rather successful in moderating pay adjustments during the autumn wage indexation round by adopting a double strategy of compensating wage-earners for past inflation through price reducing fiscal measures and simultaneously reinforcing budget stimulus to real demand. As far as 1976 is concerned, easy credit market conditions should prevail at least through the first half of the year, when strong support to activity can also be expected to result from the budget. For the year as a whole, the budget outcome will be importantly influenced by the general wage settlement in the spring and the extent to which fiscal measures will be taken as part and parcel of a possible tripartite agreement.

### *Monetary policy*

When the credit budget[38] for 1975 was established in the autumn of 1974, demand pressures were expected to remain strong. In addition, taking account of a relatively favourable profit situation in 1974 and assuming a further rise in the self-financing ratio to more than 45 per cent, the credit budget allowed only for a 12½ per cent increase in the total credit supply. However, the slump in Norwegian export markets led to a deterioration in the financial position of the company sector. Moreover, the reserve position of the private banks was eroded by the widening current account deficit, which was only partly offset by higher capital imports to the private sector.

Consequently, the credit budget was substantially revised early in the year and a number of measures[39] were taken to ease the liquidity position of the private bank and non-bank sectors and to provide selective support to areas most affected by the weakening export conditions:

(*i*) A planned deposit scheme for large corporate firms was abandoned already in January.

37 It should be noted, however, that the labour market surveys are rather uncertain, and the recorded employment changes for 1975 do not seem consistent with unemployment data.

38 The credit budget sets out the planned overall (foreign and domestic) credit supply to the private and municipal sectors on the basis of estimates for total investment and the share being financed out of investors' own savings.

39 Details of the measures taken are presented in Annex II.

(*ii*) The primary reserve requirements applying to commercial banks were lowered and finally abolished[40]. To improve the lending capacity, notably of savings banks, the proportion of assets required to be held in long-term bonds was lowered. Together these measures increased the liquid reserves of the banking sector by Kr. 2.4 billion, corresponding to some 40 per cent of the initial lending targets.

(*iii*) To encourage stockbuilding by the export industries (and more generally to improve the liquidity position of the private non-bank sector), the Central Bank introduced a system of lending on special terms to banks granting loans for such purposes.

(*iv*) A special scheme was introduced to reduce the exchange risk on export contracts for periods longer than 12 months.

(*v*) The lending facilities of the State banks have been progressively increased during the year.

(*vi*) Finally, in October the official discount rate was reduced from 5½ to 5 per cent, while long-term lending rates and deposit rates were kept unchanged.

As a result of the various measures taken, the liquidity position of the banking sector, notably the commercial banks, improved considerably in the course of the year (Diagram 5); indeed, for the first time since 1971 the commercial banks' liquid assets exceeded reserve requirements plus their net borrowing at the Central Bank during the third quarter. The improvement was considerably smaller for savings banks, as they benefited less from the measures taken. The growth of the money supply has accelerated since late 1974, reflecting mainly the higher cash deficit of the Central Government[41] and increased lending by the State banks. Foreign exchange transactions, on the other hand, served to reduce liquidity.

However, despite the policy relaxations[42] the rise in lending remained below the target rate during the first three quarters. Although the accelerated credit expansion towards the end of the year makes it likely that the credit supply target for 1975 as a whole will be reached, the flow of lending has nevertheless been rather low compared with earlier years[43]. This development is quite remarkable in view of the rapid expansion of purchases of consumer durables and the decline in the self-financing ratio to more than 10 percentage points below the level initially assumed. Although the actual development in net lending depends on demand as well as supply, it would seem that the slowing down in investment rather than more cautious lending behaviour on the part of the banking sector was the major reason for the slower credit expansion. As noted in Part I, investment plans have been revised downwards from the very high levels recorded in 1974[44] and the closing months of the year may well see an even more pronounced downward adjustment. Moreover, the utilisation rate of loan commitments (mainly overdrafts) has shown a rather large decline in 1975. Finally, private banks have used a considerable part of the increase in liquidity to reduce net borrowing from the Central Bank. This re-allocation of funds may, of course, also suggest a more cautious lending policy, since marginal interest costs on

40 Savings banks have been exempted from primary reserve requirements since June 1974.

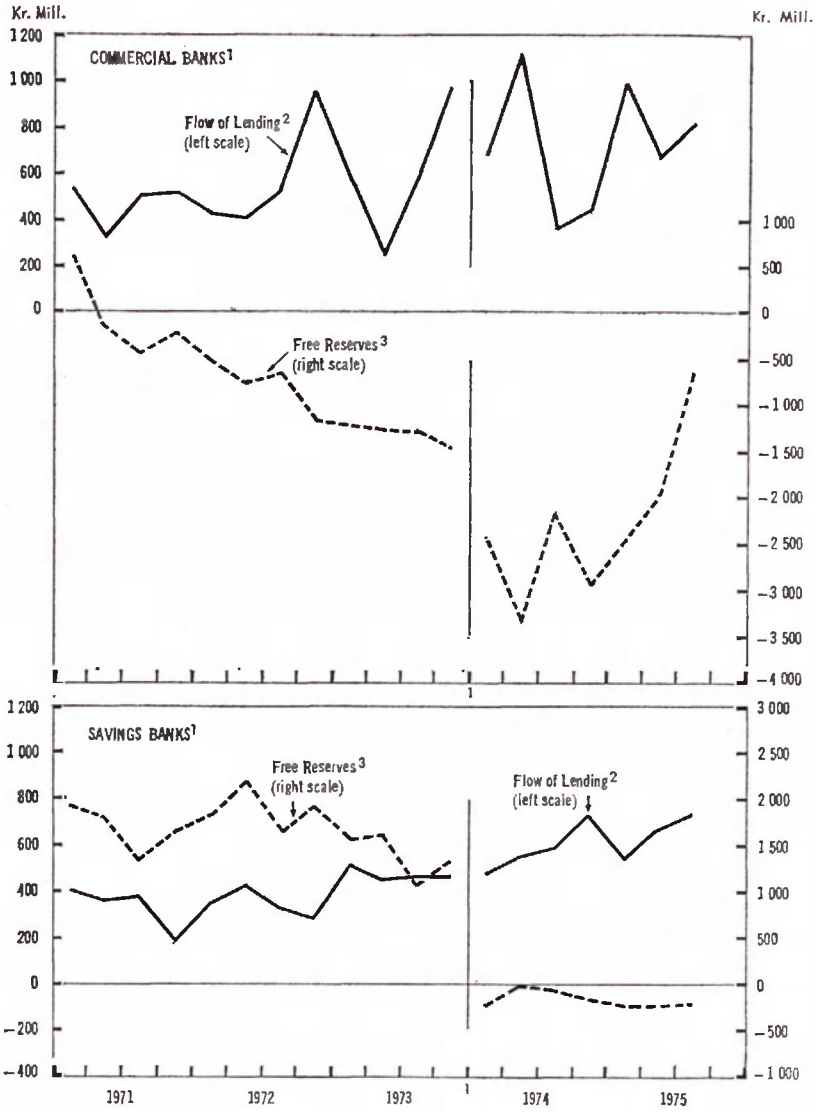
41 In addition to the higher budget deficit (including loan transactions), the Central Government boosted liquidity by extensive purchases of shares.

42 Following the adjustments of the credit budget, the target for domestic supply of credit exceeds the 1974 level by more than 30 per cent, and in contrast to earlier years private banks were encouraged to expand lending.

43 As noted in last year's Survey, actual lending in the past has tended to exceed lending targets even when revised upwards during the year.

44 The restrictive monetary stance, around the turn of the year, may have contributed to this development. Thus, as noted in last year's Survey, supplementary reserve requirements imposed on lending from commercial banks during the last 5 months of 1974 practically reduced such lending to zero.

*Diagram 5* **Bank Lending and Reserves**




1 Due to a change in definitions, the figures for 1974 and 1975 are not comparable to those for previous years.

2 Change during quarter, seasonally adjusted.

3 Liquid reserves less reserve requirements and net borrowing at the Central Bank and in other domestic and foreign banks; end of quarter.

*Source:* Economic Bulletin of Central Bank.

extensive borrowing from the Central Bank could well exceed the calculated profit margin on lending to the private sector, if such loans are considered more risky than earlier.

The credit budget for 1976 (Table 7) anticipates a rise in private and municipal investment of 8½ per cent (current prices). Following the decline in financing out of past and present savings in 1975, some rise in the self-financing ratio is envisaged

for 1976 and the overall credit supply is expected to remain largely unchanged. Reflecting a marked decline in investment in ships and some levelling off in oil sector investments (Part IV), the inflow of foreign capital to the private sector is expected to fall by as much as 20 per cent, while credit supplied by domestic sources may rise by some 10 per cent. Given the relaxation of monetary policy in 1975 and the expected weakening in demand for funds[45], credit market conditions should remain easy, at least during the first part of the year when the rise in lending from State Banks will be particularly strong. According to official estimates, Central Government transactions in 1976 may add some Kr. 3 billion—equivalent to 3½ per cent of the broadly defined money supply—to primary liquidity. This injection will more than offset the expected liquidity drag resulting from the basic balance-of-payments deficit[46].

Table 7 **Investment, Investment Financing and Money Supply**

| | 1974 | 1972 | 1973 | 1974 | 1975[3] | 1976[3] |
|---|---|---|---|---|---|---|
| | *Kr. billion* | *Changes as per cent of previous year's investment* | | | | |
| Savings directly invested | 19.3 | –2.3 | –0.2 | 24.0 | –4.5 | 8.9 |
| Credit supply | 20.2 | –4.2 | 24.4 | 5.1 | 32.9 | –0.2 |
| Foreign supply | 7.1 | –12.5 | 12.9 | 9.7 | 12.0 | –4.9 |
| Domestic supply | 13.1 | 8.3 | 11.5 | –4.6 | 20.9 | 4.7 |
| Commercial banks | 2.6 | 1.6 | 0.3 | 0.6 | 3.1 | 0.2 |
| Savings banks | 2.3 | 0.4 | 1.8 | 1.0 | 1.5 | 0.4 |
| State banks | 3.9 | 2.5 | 1.3 | –0.1 | 3.6 | 2.3 |
| Insurance companies | 1.2 | 0.3 | 1.5 | 0.5 | 0.2 | 0.3 |
| Bond market | 2.0 | 0.8 | 1.9 | 1.6 | 2.5 | 1.0 |
| Capital transfers to Statoil[1] | 0.1 | — | 0.6 | 0.0 | 2.4 | 0.6 |
| Other sources[2] | 1.0 | 2.7 | 4.1 | –8.2 | 7.6 | –0.1 |
| Total = Private and municipal investment | 39.5 | –6.5 | 24.2 | 29.1 | 28.4 | 8.7 |
| | *End of year* | *Percentage change during period* | | | | |
| *Memo items:* | | | | | | |
| Coins, notes and sight deposits ($M_1$) | 25.2 | 14.5 | 13.1 | 13.3 | 15.7[4] | |
| $M_1$ + unused credit facilities + saving and time deposits ($M_2$) | 78.1 | 11.8 | 11.8 | 11.2 | 14.9[4] | |

1 State-owned oil company.
2 Includes stock market, finance companies, changes in tax arrears, and statistical errors.
3 Estimated and target rates of change.
4 12 months ending in October.
*Sources:* National budget for 1976 and earlier budgets and Economic Bulletin of Central Bank.

## *Fiscal policy*

According to the National Budget for 1975 (published in October 1974) the public sector surplus (before loan transactions) was envisaged to decline by Kr. 300-400 million. The expansionary impact of discretionary budget changes was

45 The assumption of a rise in the self-financing ratio and a subsequent decline in demand for external funds is supported by an investment survey carried out by the Federation of Norwegian Industries. According to the survey, industrial firms' demand for loans may decline by as much as 20 per cent, while the share of total capital expenditure financed by own funds could increase from 36½ to 41 per cent.

46 In a technical sense the Government will cover its liquidity-creating cash deficit through foreign borrowing and sales of foreign exchange to the private sector.

Table 8 **Public Sector Income and Expenditure**

| | 1974 | 1973 | 1974 | 1975[1] | 1976[1] |
|---|---|---|---|---|---|
| | *Kr. bill.* | *Changes in per cent from previous year* | | | |
| Total revenue | 60.9 | 14.5 | 12.9 | 19.3 | 16.5 |
| Indirect taxes | 21.2 | 9.6 | 10.3 | 17.2 | 12.2 |
| Social security | 16.8 | 22.1 | 14.6 | 16.2 | 12.9 |
| Other direct taxes | 19.8 | 12.8 | 20.9 | 12.7 | 23.5 |
| Other revenue[2] | 3.1 | 12.2 | –15.3 | 92.8 | 16.7 |
| Transfers | 30.1 | 15.4 | 14.3 | 18.1 | 16.5 |
| To households | 20.5 | 17.9 | 11.6 | 16.9 | 18.8 |
| Subsidies | 6.8 | 17.9 | 16.8 | 24.2 | 7.8 |
| Other transfers | 2.8 | 9.6 | 30.6 | 12.0 | 23.2 |
| Current expenditure on goods and services | 21.3 | 12.0 | 18.2 | 20.3 | 16.6 |
| Central Government[3] | 10.4 | 10.1 | 18.4 | 20.3 | 15.5 |
| Municipalities | 10.9 | 13.9 | 18.0 | 20.3 | 17.8 |
| Net investment | 6.3 | 8.9 | 7.5 | 23.7 | 26.3 |
| | | *Kr. million* | | | |
| Surplus before loan transactions | 3.2 | 3 750 | 3 246 | 3 755 | 3 551 |
| Central Government[4] | 4.8 | 5 507 | 4 792 | 5 802 | 5 514 |
| Municipalities | –1.6 | –1 757 | –1 546 | –2 047 | –1 963 |
| | | *Per cent of GDP* | | | |
| *Memo items:* | | | | | |
| Gross taxes | 60.9 | 49.0 | 47.3 | 48.6 | 48.6 |
| Transfers | 30.1 | 23.9 | 23.4 | 23.8 | 23.8 |
| Net taxes | 30.8 | 25.1 | 23.9 | 24.8 | 24.8 |
| Expenditure on goods and services | 27.6 | 21.7 | 21.4 | 22.3 | 22.8 |
| Surplus (before loan transactions) | 3.2 | 3.4 | 2.5 | 2.5 | 2.0 |
| Surplus (before loan transactions) excluding oil sector) | 3.1 | 3.4 | 2.4 | 1.2 | –0.2 |

1 Official estimates and forecasts.
2 Including outstanding tax payments.
3 Including Social Security.
4 Including capital transfers to public enterprises.
*Source:* National Budget for 1976 and earlier budgets.

estimated at 3 per cent of GDP (in volume terms). An important stimulatory factor was a reduction in marginal income tax rates and higher exemptions, predicted to produce a decline in gross and net tax payments in relation to national income. Higher transfer payments and expenditures on goods and services were expected to provide about the same support to activity as a year earlier. In the event, the public sector surplus may show a rise of some Kr. 500 million (Table 8), with both the gross and the net average tax burden higher than a year earlier. Nevertheless, the expansionary impulse of discretionary budget changes in 1975 is now being put at 3½ per cent of GDP rather than 3 per cent as initially planned.

This seemingly contradictory outcome reflects the opposing effects of automatic and discretionary changes. To support economic activity—mainly in those areas most hit by the decline in merchandise exports—expenditures on goods and services were increased, unemployment benefits raised, and the period of eligibility was length-

ened. To dampen the acceleration of price and wage increases, the Government increased subsidies on food products and lowered income tax rates for a period of 6 months. At the same time, however, the higher-than-expected nominal income increase and the strong advance in domestic demand in real terms (Part I) increased budget revenues more than anticipated. A particularly large increase was recorded for " other revenues ", mainly accounted for by higher tax revenues from oil sector activity[47]. The proceeds of indirect taxes also advanced at a fast pace, partly due to higher tax rates but mainly as a result of the steep rise in household spending, notably purchases of new automobiles.

The main thrust of the measures passed or proposed for 1975 will be felt towards the end of the year and in early 1976, when labour market conditions are expected to be most depressed. In addition, the budget proposals for 1976 include the following expansionary measures:

(*i*) an adjustment of income tax schedules to partly offset fiscal drag caused by inflation[48];

(*ii*) supplementation of the existing monetary measures to encourage stock-building by a subsidy scheme, the proviso being that employment is not to be reduced for a certain minimum period;

(*iii*) a faster increase in expenditures on goods and services and transfer payments than in the previous budget year.

Allowing for lagged effects from policy changes in 1975 and the contractionary impact of proposed increases in indirect taxes on alcoholic beverages and tobacco, the expansionary impulse in 1976 is officially estimated at 4 per cent of GDP, of which more than half reflects higher real expenditures (Table 9). With tax revenues from the oil sector likely to increase by more than Kr. 2 billion, both gross and net tax receipts are predicted to grow in line with GDP in current prices (Table 8) leaving the budget balance (before loan transactions) largely unchanged.

Due to the uncertainties relating to the strength and timing of the recovery from the present international recession and to the outcome of the general wage round in the spring, the budget proposals are more preliminary than usual, but are also designed to ensure a relatively high degree of flexibility. Thus, the figures presented in Table 8 are based on the assumption that the average price and wage increase

Table 9 **Impact of Discretionary Changes in Fiscal Policy**[1]

Per cent change in terms of previous year's GDP, excluding shipping and oil sector, in constant prices

| | 1974 | 1975 | 1976 |
|---|---|---|---|
| Direct taxes | 0.7 | 1.1 | 0.7 |
| Indirect taxes less subsidies | 0.6 | 0.2 | 0.3 |
| Public prices | –0.1 | –0.2 | –0.1 |
| Transfer payments | 0.8 | 1.0 | 0.9 |
| Expenditures on goods and services | 1.3 | 1.4 | 2.1 |
| Total impact | 3.3 | 3.5 | 3.9 |

1 Official estimates.
*Source:* National Budget for 1976.

47 According to official estimates, revenues from the oil sector rose by Kr. 1.8 billion between 1974 and 1975.

48 According to the Government proposal the major element in the tax adjustment is an increase in the basic exemption, implying that households with low incomes will get a relatively large improvement in disposable income.

between 1975 and 1976 will be respectively 9¼ and 14 per cent[49], but in case contractual wage increases turn out to be smaller than assumed, the Government would be prepared to lower income taxes, as indicated in the National Budget. The expansionary stance of fiscal policy may therefore be further strengthened in the course of the year.

## IV THE 1976 OUTLOOK

Apart from the adopted policy assumptions—relatively easy monetary conditions and continued fiscal stimulus—developments in 1976 will be importantly influenced by three main factors: the likely petering-out of the strong 1973-75 business investment upswing, a weakening of the private consumption boom, and a revival of world trade. With merchandise exports likely to recover in 1976, Norway should come through the deepest international recession since the thirties without any serious repercussions on the overall levels of activity and employment (Diagram 6). Whether, and to what extent, the comparatively satisfactory performance on the real side of the economy will be accompanied by progress on the inflation front will crucially depend on the outcome of the next biennial general wage agreement and the possibility of arresting subsequent wagedrift.

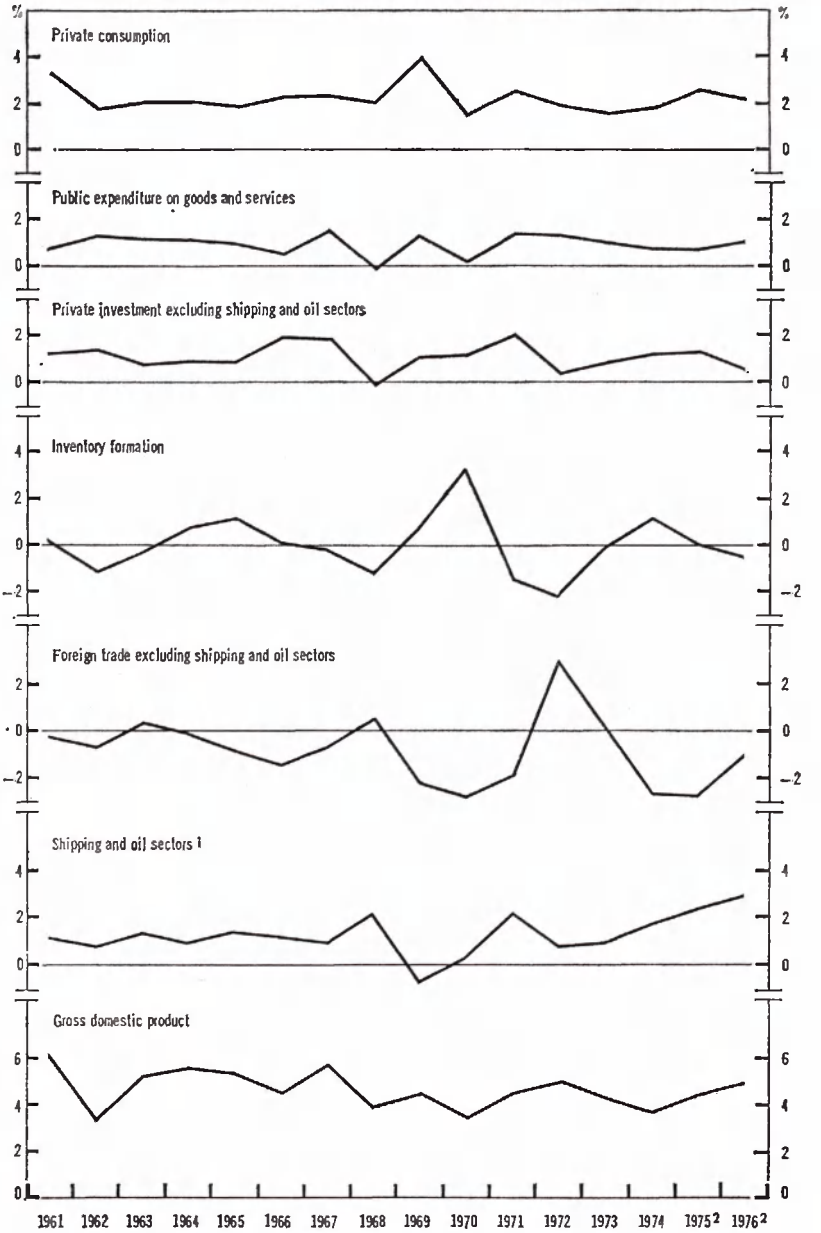
Table 10 **Supply and Use of Resources**
Constant prices

| | 1974 Kr. billion | Percentage change from previous year | | | | | |
|---|---|---|---|---|---|---|---|
| | | 1973 | 1974 | 1975[1] | 1976[1] | 1975[2] | 1976[2] |
| Private Consumption | 67.3 | 1.9 | 3.2 | 5.9 | 4.3 | 5½ | 4 |
| Public Consumption | 21.2 | 5.9 | 4.0 | 3.5 | 4.2 | 3½ | 4½ |
| Gross Fixed Asset Formation | 41.3 | 14.6 | 6.9 | 7.8 | –0.6 | 7¾ | –1¼ |
| Final Domestic Demand | 129.8 | 6.9 | 4.5 | 6.0 | 2.7 | 5¾ | 2½ |
| Stock Formation[3] | 2.3 | (0.7) | (1.2) | (–0.3) | (0) | (0) | (–¾) |
| Total Domestic Demand | 132.1 | 7.7 | 5.7 | 5.6 | 2.7 | 5¾ | 1 |
| Exports of Goods and Services | 61.4 | 7.7 | 0.5 | 0.5 | 12.9 | 1 | 8½ |
| *of which:* Goods | 34.9 | 9.4 | –1.6 | 5.1 | 17.0 | 6 | 8 |
| Imports of Goods and Services | 64.7 | 15.5 | 4.8 | 1.9 | 3.4 | 3½ | 0 |
| *of which:* Goods | 50.3 | 15.0 | 3.6 | 5.0 | 3.6 | 4 | 0 |
| Gross Domestic Product | 128.8 | 3.7 | 3.7 | 5.1 | 7.0 | 5 | 5½ |
| Terms of Trade Effect[4] | | 1.8 | –0.7 | –4.9 | 0.7 | –4 | –1½ |
| Real National Income[5] | | 5.6 | 3.0 | 0.2 | 6.3 | 1 | 4 |
| *Memo item:* | | | | | | | |
| GDP excluding Shipping and Oil | 117.1 | 4.0 | 3.9 | 2.8 | 4.4 | 2½ | 2¾ |
| Employment (man year) | | 0.5 | 0.3 | 0.1 | 1.1 | ¼ | ½ |
| Labour Productivity | | 3.5 | 3.6 | 2.7 | 3.3 | 2¼ | 2¼ |

1 Official estimates and forecasts.
2 Secretariat estimates and forecasts.
3 Changes are in per cent of previous year's GDP.
4 Calculated as the weighted difference between changes in export and import prices, the weights being the previous year's shares of exports and imports in GDP. The terms of trade effect thus reflects the impact on purchasing power of differential changes in foreign prices as well as differences in the level of exports and imports.
5 Defined as the volume change in GDP plus the terms of trade effect.
*Source:* National Budget for 1976.

49 The National Budget for 1976 contains alternative wage assumptions, and as noted in Part IV private sector accounts are based on a wage increase of 12½ per cent.

*Diagram 6* **Contribution to GDP Growth by Demand Components**
Changes as per cent of previous year's GDP

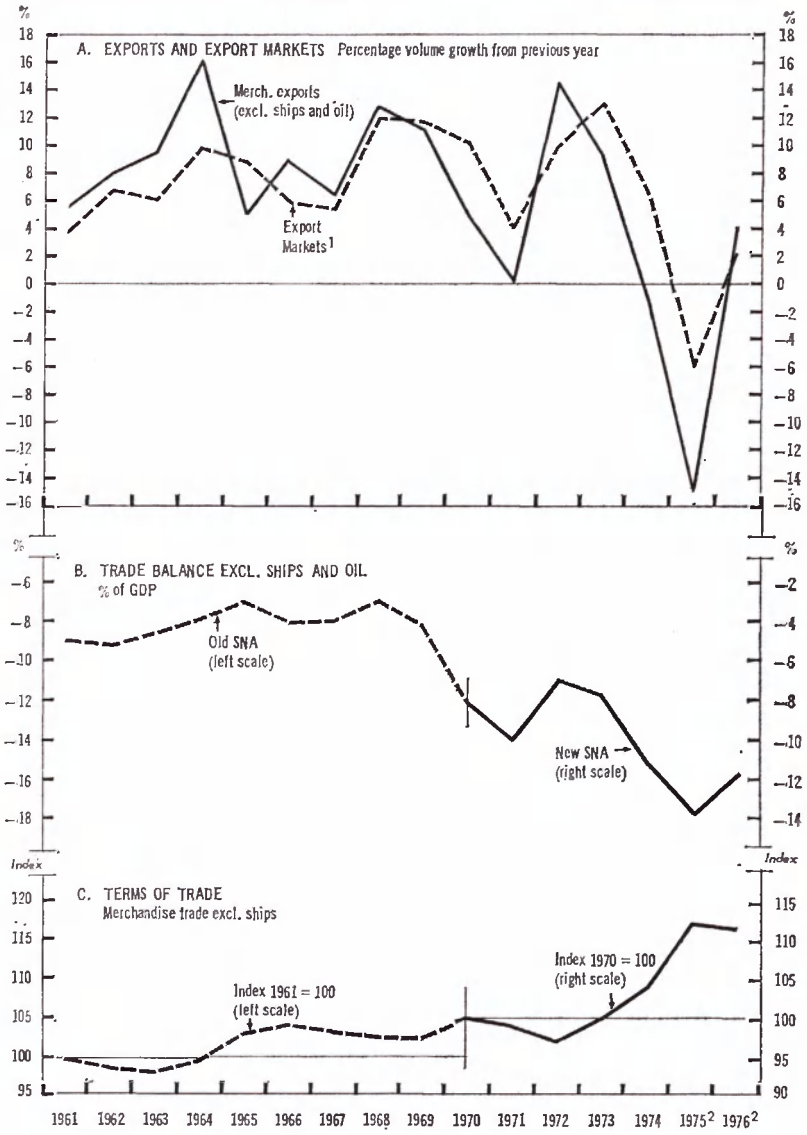



1 The contribution to GDP growth of shipping and oil sectors is calcaluted as exports and investment less imports in these sectors.
2 OECD forecasts.
*Sources:* Norwegian National Accounts, National Budgets and OECD Secretariat.

In spite of the great uncertainties concerning the timing and strength of the recovery of world trade and the inflation outlook, there are no fundamental differences in the assessment of the 1976 outlook between the Norwegian authorities and the

OECD Secretariat. The only major divergence relates to foreign trade, where the Secretariat foresees a less rapid revival than in previous international upswings and is less optimistic as to the prospect of Norway regaining the market share losses incurred in 1975. Consequently, the domestic demand picture is also expected to be somewhat weaker than suggested by the authorities (Table 10).

*Diagram 7* **Trends in Foreign Trade**




1 The year-on-year growth of the export markets is calculated as the growth which would occur in a country's exports if it exactly maintained its share in total OECD exports to each market.

2 OECD estimates and forecasts.

*Sources:* National Budgets and OECD Secretariat.

*Exports and foreign prices*

According to Secretariat estimates, OECD exports (volume) can be expected to rise by 4-5 per cent in 1976, following a decline of 5-6 per cent in 1975. Due to a rather slow revival in some of Norway's most important markets (Sweden, the United Kingdom and Germany, which in 1974 accounted for almost 60 per cent of her merchandise exports), the growth of Norwegian export markets may not exceed 2-3 per cent (Diagram 7). As suggested in Part I, massive liquidation of stocks, notably of input goods, was a major factor behind the decline in Norway's exports and the associated loss of market shares in 1975. Since the stock adjustment process is likely to come to a halt soon and may be followed by some build-up of inventories, it seems reasonable to count on some gain in overall market shares. However, with activity in most markets likely to remain well below the full capacity rate and with stock/output ratios generally still rather high by past standards, the recent market losses may be only partly recuperated in 1976[50]. Given the slump in the international freight market and the number of order cancellations already recorded by Norwegian shipyards, exports of new ships can be expected to fall substantially in 1976, while low prices and the temporary guarantee scheme for the shipping sector[51] are likely to restrain sales of used ships. In view of the present excess supply of tonnage in international freight markets, the projected modest upturn in world trade is un-

Table 11 **Foreign Trade Prices and Effective Exchange Rates**

| | Average weights 1974 | Percentage change (annual rates) during 2 quarters up to | | | | |
|---|---|---|---|---|---|---|
| | | 1973 4Q | 1974 2Q | 1974 4Q | 1975 2Q | 1975 3Q |
| Export prices, fob | | | | | | |
| Food, beverages, tobacco | 11.6 | 34.6 | 9.8 | –14.3 | –27.4 | –12.6 |
| Raw materials | 12.7 | 27.2 | 52.8 | 16.4 | –11.8 | –20.4 |
| Fuel | 7.8 | 47.7 | 230.5 | –11.5 | 1.4 | –1.4 |
| Manufactured and semi-manufactured goods | 49.2 | 14.5 | 51.5 | 43.0 | 4.7 | –17.4 |
| Machinery and transport equipment (excluding ships) and other manufactured goods | 18.7 | –5.1 | 18.6 | 25.9 | 26.6 | 11.9 |
| Total | 100.0 | 20.1 | 45.4 | 25.5 | 2.7 | –10.5 |
| Total excluding fuel | | 15.2 | 38.3 | 28.7 | 2.8 | –11.3 |
| Import prices, cif | | | | | | |
| Food, beverages, tobacco | 7.8 | 48.8 | 5.7 | 41.4 | –23.4 | –2.6 |
| Raw materials | 10.3 | 38.8 | 36.4 | 13.4 | –8.0 | –16.8 |
| Fuel | 13.8 | 118.4 | 191.4 | 2.2 | –8.8 | 3.0 |
| Manufactured and semi-manufactured goods | 32.0 | 14.5 | 44.0 | 14.9 | 2.4 | –6.3 |
| Machinery and transport equipment (excluding ships) and other manufactured goods | 36.1 | 5.3 | 14.1 | 14.1 | 9.8 | 6.7 |
| Total | 100.0 | 25.8 | 41.2 | 14.7 | 4.4 | –1.1 |
| Effective exchange rate | | 2.6 | 3.9 | 1.1 | 8.2 | –1.7 |

*Sources:* Monthly Bulletin of External Trade and OECD Secretariat.

50 The market share forecast is particularly sensitive to the timing and strength of the next stock cycle. Under more optimistic assumptions on inventory formation in main trading partner countries a much more rapid recovery of demand for Norwegian exports than at present foreseen by the OECD Secretariat could easily take place.

51 As noted in Part II, one important purpose of the guarantee scheme is to prevent exports of used ships at the present low prices.

likely to lead to any significant recovery of freight rates; consequently a high share of the Norwegian fleet will probably remain laid up and net freight earnings in volume may increase only little. Exports of other services—notably oil drilling—can be expected to rise substantially. Total exports of goods and services, excluding shipments of crude oil, may therefore rise by some 3 per cent between 1975 and 1976. Allowing for the predicted doubling of North Sea oil production, overall exports could then expand by more than 9 per cent as compared with the 13 per cent officially forecast.

Influenced by the sharp decline in freight rates and prices of used ships, average export prices fell by ½-1 per cent in 1975, and the overall deterioration in the terms of trade reduced real national income by almost 4 per cent. Excluding the shipping sector, the rise in export prices exceeded that of import prices for the year as a whole (Table 12), though this development was reversed in the second half of the year; export prices dropped by 10-11 per cent (annual rate) from the first to the third quarter (Table 11). The prospective international upturn should lead to some firming of prices in 1976, but average export prices are unlikely to exceed their previous year's level by more than 6-7 per cent, while the rise in import prices may well accelerate to around 8 per cent. On this basis, 1976 would mark the third consecutive year for Norway of overall terms-of-trade losses.

*Wages and domestic prices*

The recent drop of export prices may combine with some further easing of labour market conditions to curb wagedrift. In addition, the measures taken in connection with the latest indexation settlement should exert some dampening influence on contractual wage increases. However, more important for the development of earnings in 1976 will be the outcome of the general wage negotiations in the spring[52]. So far no wage claims have been presented, but it seems likely that the negotiations will be centralised, thereby improving the conditions for obtaining a tripartite agreement[53]. Since both the size and the nature of the settlement are still very uncertain, the official outlook for 1976 does not include any specific wage and price forecast, but is based on a working hypothesis that average annual wages per employed would increase by 12½ per cent.

While this assumption seems to be well within the range of likely outcomes, greater uncertainties exist with respect to the rise in hourly wage rates, unit labour costs and prices. The standard work week will be reduced to 40 hours for all sectors. On average, this corresponds to a reduction in working time of about 3 per cent. It has not yet been decided to what extent this cut will be compensated by higher hourly rates. If annual wages per employed advance by 12½ per cent, full compensation would imply a rise in hourly wages by 15-16 per cent on average and by 19 per cent for those sectors—such as most manufacturing industries—where the present work week is 42½ hours[54]. Even if a compensation rate below 100 per cent is considered most likely and allowance is made for a higher rate of productivity increase than usual[55], the rise in unit labour costs in 1976 would nevertheless exceed that resulting from past settlements by a rather wide margin (except for 1974). In these circum-

52 The negotiated wage increases will take effect during the second and third quarters of 1976.

53 As noted in Part III the proposed budget for 1976 contains certain "promises" of tax reductions in case of a low settlement.

54 According to the latest OECD Economic Outlook published in December 1975, hourly earnings in manufacturing are expected to rise in 1976 by about 10 per cent on average for the total OECD area after some 12 per cent in 1975.

55 The reduction in the work week can be expected to increase productivity per man-hour. At the same time, however, the rate of productivity increase may well be reduced by the proposed subsidy scheme for stockbuilding, which induces labour hoarding through discouraging lay-offs.

stances it may be difficult to avoid a further deterioration in the relative cost position of exposed industries.

With respect to consumer prices, it has been officially assumed that wage cost increases, together with other factors (Table 4) would push up prices by 8½ per cent on a year-to-year basis. Food prices, public charges and indirect taxes less subsidies, are seen to contribute almost 3 percentage points, while the direct impact of foreign prices is estimated to add 2 percentage points. The official estimates would seem to imply a marked deceleration in the rate of inflation in the course of 1976; indeed, anticipating some release of price pressure after the expiration of the price stop, the advance of prices between the first and the fourth quarters of 1976 may have to be limited to 3-4 per cent. With the present rate of inflation at 11-12 per cent, special efforts will probably be needed to achieve the official price target.

*Income and domestic demand*

On the above assumptions for tax changes, wages, and prices, and with some increase in employment (see below), real disposable income of wage and salary earners would grow roughly in line with the official target rate of 3 per cent. The advance is slower than during the past two years and also below the 4 per cent rise foreseen for transfer receivers. As noted in Part I, non-wage incomes declined in real terms in 1975, and the expected deterioration in the terms of trade combined with the depressed conditions in certain export sectors does not point to a significant improvement in the profit situation in 1976. The outlook remains particularly bleak for sectors closely connected with shipping or shipbuilding; even with the predicted revival of activity, the income shares lost in 1975 to wage and salary earners are unlikely to be regained. All in all, private disposable income may rise by 13 per cent in nominal terms (Table 1), corresponding to a real increase of 3-4 per cent.

Following the exceptionally strong rise in private consumption in 1975, 1976 may see a return to trend growth. Norwegian households have not yet shown any " precautionary " reactions to the deterioration in labour market conditions, but it cannot be excluded that the expected rise in the unemployment rate in the early part of 1976 will push up the savings ratio, at least temporarily. Later on, the expected revival of activity and the deceleration in the rate of inflation should provide a stimulus to real spending so that, for the year as a whole, consumption is foreseen to rise roughly in line with disposable income[56].

Higher profits and favourable credit market conditions should serve to support real capital formation. Investment activity, however, can be expected to be rather uneven as between sectors. In industries severely hit by the international recession, notably the shipping sector, capital expenditure is likely to be reduced. Given the long lags between ordering and delivery and progressive cancellation penalties, 1975 net investments in ships were primarily held down by large sales of used ships. In 1976, however, the situation will certainly be different, as deliveries of new ships will decline substantially while the temporary guarantee scheme (see Part III) should have a dampening effect on exports of used ships. All in all, ship investments may well fall by more than 50 per cent in real terms, corresponding to some 5 per cent of total fixed capital formation in 1975.

Despite the expected continuation of easy credit market conditions, investment in manufacturing is also likely to decline. According to an investment survey taken in August, planned investment in 1976 (current prices) is 7-8 per cent below the level now expected for 1975. On average, entrepreneurs expect an increase in the self-

56 The savings ratio may be reduced by some special factors towards the end of the year. The release of tax-free savings on closed bank accounts might stimulate household spending and the expected decline in inventories of exportable goods, notably in the second half of 1976, will make a larger share of profit income available for consumption.

financing ratio, but in view of the present cyclical position and the outlook for world trade and exports, the upward revision normally made during the year will probably be smaller than usual. Even allowing for a marked deceleration in the investment deflator[57], fixed asset formation in manufacturing will probably decline in real terms by some 6-7 per cent, with larger firms accounting for most of the contraction[58]. Investment activity outside shipping and manufacturing can be expected to do comparatively well. Capital spending by the oil sector (exploitation, transport and drilling) should continue to rise, albeit at a much lower rate than in 1975. Significantly higher public capital expenditures and a doubling of the rate of increase in investments in power plants is officially foreseen to contribute some 2½ per cent to overall fixed capital formation (1.3 per cent in 1975) and with a higher lending budget for the state banks—especially early in the year—residential construction may rise at approximately the same rate as in 1975. Nevertheless, reflecting the weakness in shipping and the end of the investment boom in manufacturing, total gross fixed capital formation will probably fall somewhat in 1976 (Table 2).

The negative impact on domestic demand will be reinforced by a likely decline in investments in stocks. As in 1975, the overall level of stockbuilding will be influenced by a number of factors. Stocks of export goods are generally foreseen to decline, notably during the second half of the year, following the expiration of the proposed subsidy scheme. On the other hand, inventories of imported raw materials, consumer goods and goods in process are expected to increase. On balance, the level of stocks should rise, but at a considerably smaller rate than in 1975. Disregarding import leakages, the fall in inventory demand may reduce the rate of GDP growth by almost 1 percentage point.

*Output and employment*

Assuming an increase in public consumption of 4½ per cent (as officially forecast) total domestic demand may increase by 1½-2 per cent as compared with 5-6 per cent in 1975. Including non-oil and non-shipping exports, total demand would rise by 2½-3 per cent, suggesting a rather flat development in merchandise imports. Taking account also of the smaller increase in oil sector investments, and the sharp decline in investments in ships, overall imports may increase very little in 1976. Hence, the current balance (volume) might improve significantly, possibly contributing as much as 4 percentage points to the forecast GDP growth of 5½ per cent. The strength of the real foreign balance as well as GDP growth are heavily influenced by the prospective rapid expansion of the oil sector which accounts for around 2½ percentage points of the forecast production growth. Output of the shipping sector is, on the other hand, expected to remain approximately unchanged.

Although world trade and Norwegian exports are forecast to show rather large positive cyclical swings between the second half of 1975 and the first half of 1976, the impact on employment conditions is not likely to be much felt before the middle of 1976. The lag with which employment normally reacts to changes in demand will be prolonged by the presently very large inventories of exportable goods. Moreover, the rise in exports due to higher oil production will have very little direct impact on labour market conditions. On the other hand, as mentioned in Part III, a number of selective public spending and monetary measures have been designed to support employment early in 1976. Moreover, demand for labour should be pushed up by

57 According to official estimates the rate of increase of the investment deflator may fall by as much as 10 percentage points between 1975 and 1976, but due to the special factors influencing ship investments in 1975, the deceleration for manufacturing investment will be much smaller.

58 According to the investment survey conducted by the Federation of Norwegian Industries (August 1975) the 28 largest firms expect a decline of 15 per cent (current prices), while " smaller " firms foresee an increase in investment spending of 7½ per cent.

the reduction in the work week to 40 hours. Even so, there is likely to be a further increase in the unemployment rate during the early part of 1976 followed by some improvement later in the year.

*Balance of payments*

The marked improvement in the current external balance in volume terms will probably be largely offset by the expected continued deterioration in the terms of trade and a further widening of the transfer deficit. As a result, the current balance-of-payments deficit in 1976 may fall only little below the Kr. 12½ billion ($ 2.2 billion) likely to be recorded in 1975. For the first time since the start of oil production in the early 1970s, oil sector activities are expected to produce a small net current surplus. The shipping sector may see some improvement in its depressed level of net foreign exchange earnings, mainly because of the envisaged sharp decline in imports of ships (Table 12). On the other hand, the current balance of the other sectors is expected to show a further sharp deterioration which could well push up their combined deficit to more than 10 per cent of GDP excluding shipping and oil. While the current surplus envisaged for shipping would cover the same share of this deficit as in 1975 (25 per cent), traditional borrowing by the shipping sector and the shipbuilding industry can be expected to be much less important than usual given the depressed medium-term outlook for the freight market. Thus, extensive public

Table 12 **Current Account of the Balance of Payments**

| | 1973 | 1974 | 1975[1] | 1976[2] | 1975[1] Vol. | 1975[1] Price | 1976[2] Vol. | 1976[2] Price |
|---|---|---|---|---|---|---|---|---|
| | *Kr. billion* | | | | *Percentage change* | | | |
| EXPORTS, fob | 27.3 | 34.9 | 37.8 | 43.7 | 6 | 2 | 8 | 7 |
| Crude oil | 0.2 | 0.5 | 3.4 | 7.3 | 540 | 9 | 100 | 10 |
| New ships and platforms | 1.5 | 2.0 | 4.7 | 3.4 | 80 | 30 | –33 | 9 |
| Used ships | 3.7 | 4.1 | 3.0 | 3.0 | 40 | –47 | 0 | 0 |
| Other merchandise | 21.9 | 28.3 | 26.7 | 30.0 | –12½ | 8 | 5½ | 6½ |
| IMPORTS, cif | 37.3 | 49.2 | 54.3 | 58.2 | 4 | 6 | 0 | 7½ |
| Equipment for oil sector | 2.9 | 3.1 | 3.9 | 4.9 | 8 | 13 | 11½ | 12½ |
| Ships | 5.9 | 5.0 | 6.7 | 5.4 | 27½ | 5 | –25 | 9 |
| Other merchandise | 28.5 | 41.1 | 43.7 | 47.9 | 1 | 5½ | 2½ | 7 |
| TRADE BALANCE | –10.0 | –14.3 | –16.5 | –14.5 | | | | |
| *of which:* | | | | | | | | |
| Merchant Fleet | –2.2 | –0.9 | –3.7 | –2.4 | | | | |
| FREIGHT BALANCE | 10.2 | 11.2 | 8.3 | 8.3 | | | | |
| Gross freight earnings | 16.7 | 19.2 | 16.5 | 17.0 | –12 | –2½ | 3 | –½ |
| Expenditures abroad | 6.5 | 8.0 | 8.2 | 8.7 | –6½ | 9 | ½ | 5 |
| Services, net | –0.9 | –1.0 | –1.2 | –0.5 | | | | |
| Transfers, net | –1.5 | –2.3 | –2.9 | –4.8 | | | | |
| CURRENT ACCOUNT | –2.0 | –6.4 | –12.3 | –11.5 | | | | |
| *of which:* | | | | | | | | |
| Oil sector | –2.8 | –3.9 | –1.9 | 0.9 | | | | |
| Shipping sector | 7.3 | 9.3 | 3.5 | 4.1 | | | | |
| Rest of Norway | –6.5 | –11.8 | –13.9 | –16.5 | | | | |

1 Secretariat estimates.
2 Secretariat forecasts.
*Sources:* National Budget for 1976 and earlier budgets.

sector borrowing—as in 1975—will be required to avoid a major decline in the level of foreign exchange reserves. Considering the expected strength of Norway's future balance-of-payments position and the relatively easy conditions on international financial markets, the financing of the current deficit should not pose problems.

## V CONCLUSIONS

As noted in earlier Surveys, the Norwegian economy has in recent years shown a remarkable resilience to external shocks and disequilibrating influences. Despite the unexpected severity of the international recession, 1975 was not an exception. With exports of goods and services normally accounting for about 50 per cent of total output, and with a major share of foreign exchange earnings stemming from sectors highly sensitive to fluctuations in the international business cycle, the growth performance in 1975 was remarkable. Helped both by expansionary policies and the rapidly growing oil sector and related activities, final domestic demand rose by more than 5 per cent in real terms, the highest rate recorded for any Member country in 1975. At the same time, special incentives to stockbuilding prevented inventory adjustments from having a negative impact on production.

The strength of real domestic demand and output in Norway at a time of international recession obviously had implications for the balance of payments. While most Member countries experienced an improvement in the real external balance and/or better terms of trade between 1974 and 1975, Norway experienced a sharp deterioration in both the real balance and her terms of trade, boosting the current account deficit to about 9 per cent of GDP. Maintenance of relatively high employment has also meant that Norway has not seen any indentation in the inflation trend as witnessed elsewhere. In fact, there has been a further acceleration of prices and wages resulting in a marked deterioration in Norway's relative cost position.

While monetary and budgetary policy changes should continue to strongly support economic activity in 1976, final domestic demand is expected to rise at a markedly lower rate than in 1975. The slowdown is likely to affect all major components of investment and consumption; moreover, following the build-up of stocks in 1975, inventory adjustments will probably restrain the growth of output in 1976. On the other hand, the foreign balance is likely to re-emerge as a source of some buoyancy. Largely as a result of a more optimistic outlook for world trade in general and demand for Norwegian exports in particular, the authorities foresee a somewhat stronger rise in total production than the OECD Secretariat. Taking account of a predicted doubling of oil exports, the rise in GDP in 1976 may again be one of the highest in the OECD area, with near full employment conditions likely to be regained by the end of the year.

Against this background, and considering the usual delays in policy implementation and long demand reaction lags, notably to monetary changes, there would not seem to be need for further expansionary measures. While the present degree of fiscal stimulus and monetary ease would thus seem appropriate from the point of view of overall demand management, it is important to achieve a marked deceleration of inflation. 1975 was a light bargaining year. Consequently, the authorities had little scope for influencing wage developments. Moreover, given the already high level of subsidies at present, increased resort to this instrument could have entailed undesirable distortions. The situation in 1976 is different with respect to both the strength of domestic demand and the wage situation as most of the existing 2-year wage contracts expire. Contrary to the 1974 experience, prospects for centralised negotiations—which tend to produce less inflationary wage settlements—are favour-

able. The promises of tax reductions contained in the 1976 National Budget have been made conditional on effective wage restraint and should thus help keep pay increases within reasonable limits. The need for wage restraint is underlined by the recent unfavourable developments in costs and prices in Norway relative to trends abroad.

Incomes policy, constituting a cornerstone of overall stabilisation and full employment policies, has a long tradition in Norway. There can be little doubt that the existence of an effective incomes policy has enabled the authorities to operate the economy on a higher and more stable level of activity than otherwise would have been possible[59]. The need for co-ordination of income claims and close co-operation between the Government and the two sides of industry may become even more important in the future. As discussed in Part II, a smooth absorption and use of future oil revenues will probably require larger adjustments in the employment structure than observed in the past, entailing the risk of competitive bidding-up of prices and wages, especially as the maintenance of full employment is a major target of economic policy. The problems and risks involved are clearly recognised by the authorities and have been an important consideration in decisions relating to the exploitation of the oil reserves, exploration activities, and the planned rate of oil revenue spending in the domestic economy. Nevertheless, the rapid growth of the oil sector and related activities, and the emergence of a large current external surplus in a few years time, will probably mean stronger upward pressures on wages and prices at a given level of overall activity than earlier. Active labour market policies could ease the structural changes likely to take place, but an efficient incomes policy will be required to hold inflation down to an acceptable rate.

The present international recession and particularly the slump in shipping have provided some relief to the adjustment problem. In view of the poor medium-term outlook for the shipping sector, it seems safe to assume that over the next 4-5 years a major part of the additional labour force needed in the sheltered industries may be released from the shipping sector and other exposed industries. On the other hand, the apparent structural weakness of the shipping sector means that, despite technical delays, oil exports will, sooner than earlier expected, replace shipping as the most important source of foreign exchange earnings. It also implies that by the time the current account of the balance of payments swings into a surplus position, net foreign debt may have attained a record level of as much as 25 per cent of GDP. In the meantime, extensive foreign borrowing will have to be effected to cover the high, though rapidly diminishing deficits. However, judging by past experience and taking account of the size of the future oil revenues, this transitional period should not raise any particular problems, neither for 1976 nor for some more deficit years to come.

59 For a fuller discussion of the institutional framework of incomes policy in Norway see OECD Economic Surveys of Norway, January 1971 and March 1974.

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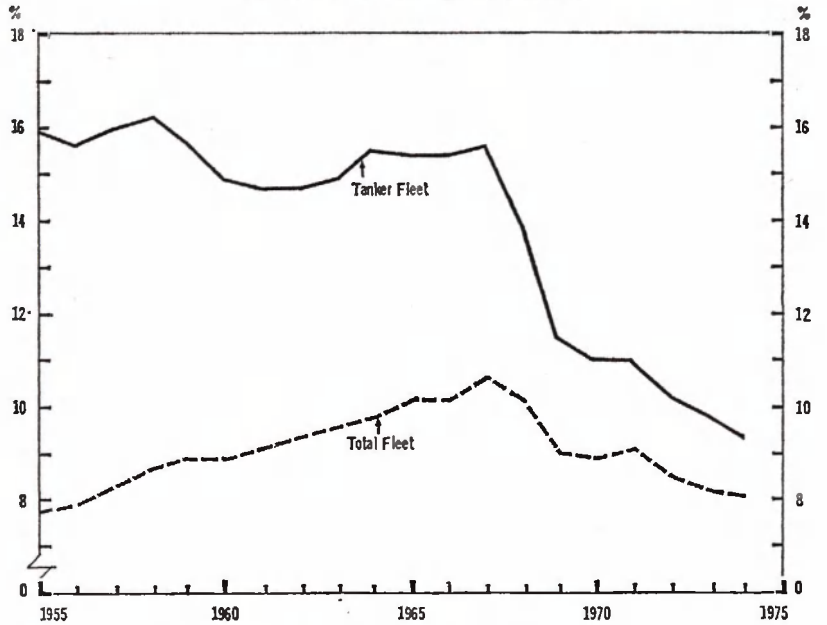
*Annex I*

# MAIN FEATURES OF THE NORWEGIAN SHIPPING SECTOR

The Norwegian shipping sector is large both in national and international terms. The size of the fleet ranks as number four in the world, exceeded only by those of Liberia, Japan and the UK. Moreover, when measured in relation to total population or GDP, the Norwegian fleet outranks all other OECD-countries. Norway's share of the total world fleet was on a rising trend during most of the post-war period, but has seen some decline in recent years, as the share in the tanker market, in particular, has decreased significantly (Diagram 1).

*Annex Diagram 1* **Norwegian Share in World Fleet**
Per cent of gross register tonnage



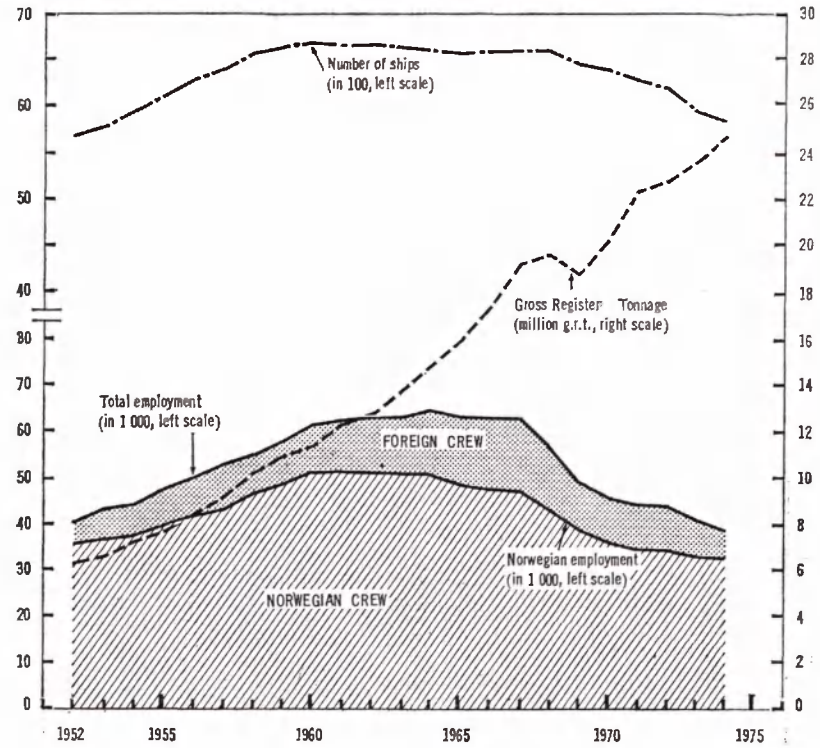

*Source:* Statistical Yearbook of Norway for 1975 and earlier.

In the national economy, shipping is the third largest sector in terms of production, accounting for about 8 per cent of total output, as compared with 23 per cent for manufacturing and 18 per cent for wholesale and retail trades. In terms of employment, shipping is less important, employing only 3½ per cent of the labour force. Almost 20 per cent of the crews consists of foreign workers, the equivalent of about 20 per cent of the total foreign labour force employed in Norway. The number of employees increased from 40 000 in 1952 to almost 65 000 in 1964 but has declined during the last 10 years; by the end of 1974 employment was below the level recorded in 1952 (Diagram 2).

A characteristic feature of the Norwegian shipping sector is its highly capital-intensive production and the rapid turnover of the capital stock. At the end of 1973, some 9 per cent of total real capital in Norway was invested in ships and the share of depreciation is at present around 25 per cent[1] of the national total. During the 'fifties and 'sixties, when the Norwegian fleet was

1 Capital consumption in per cent of total operating surplus seems at 20-22 per cent to be higher in Norway than in any other Member country; cf. Maritime Transport Committee, Annual Report for 1973.

*Annex Diagram 2* **Developments in Number of Ships, Gross Tonnage, and Employment**



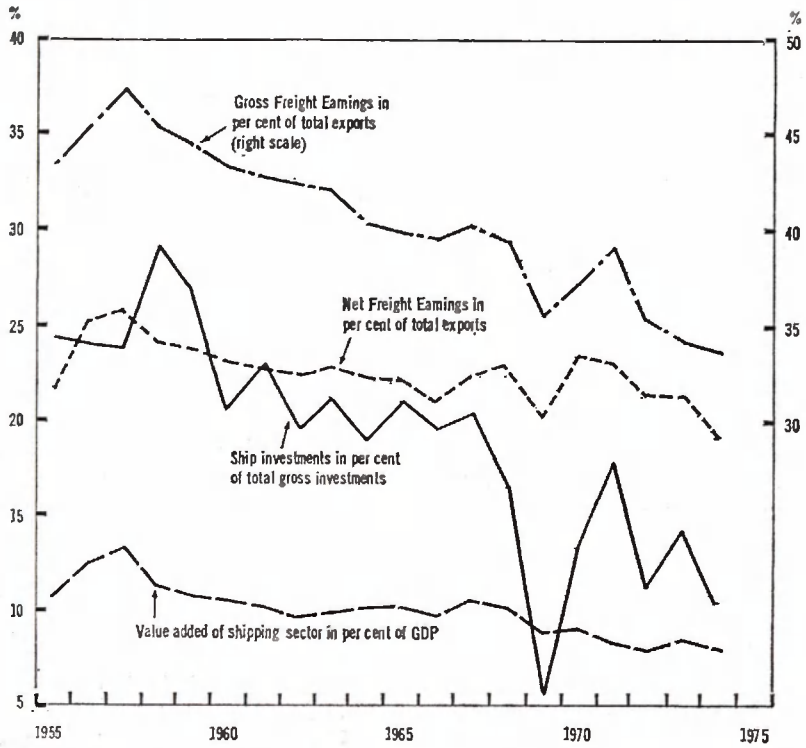

*Source:* Statistical Yearbook of Norway for 1975 and earlier.

Table 1 **The Shipping Sector**
Current

| | | 1958-61 |
|---|---|---|
| 1 | Net Freight Earnings | 3 106 |
| 2 | Net Import of Ships[1] | 1 763 |
| 3 | Other Current Expenditure | 211 |
| 4 | Current Balance with rest of world, excluding Norway[2] | 1 132 |
| 5 | Net expenditures in Norway | |
| 6 | Current Balance with rest of world | |
| 7 | Net capital inflow from rest of world, excluding Norway | 717 |
| 8 | Basic Balance with rest of world excluding Norway (4 + 7) | 1 849 |
| 9 | Current Balance for "Domestic Sector" (excluding oil)[4] | |
| 10 | Current Balance for Norway (6 + 9) excluding oil | –912 |
| 11 | Current Balance including oil | –912 |

1 Excluding export of ships from ship building industry.
2 Official estimate.
3 i.e. foreign exchange earnings of the shipping sector.
4 i.e. including sales (exports) to shipping sector.
*Source:* National Budget for 1976 and earlier budgets.

*Annex Diagram 3* **Developments in the Shipping Sector's Share of GDP, Investment and Exports**
Per cent, current prices




*Source:* National Accounts 1954-1970 and National Budget for 1976 and earlier.

**in the Current Balance of Payments**
prices

| 1962-65 | 1966-69 | 1970-74 | 1973 | 1974 | 1975[2] |
|---|---|---|---|---|---|
| *Kr. million, average* | | | *Kr. million* | | |
| 4 018 | 5 716 | 9 371 | 10 410 | 11 645 | 8 200 |
| 1 704 | 1 390 | 1 757 | 2 085 | 886 | 4 725 |
| 302 | 439 | 543 | 718 | 700 | 1 000 |
| 2 012 | 3 887 | 7 071 | 7 607 | 10 059 | 2 475 |
| 2 905 | 4 156 | 6 281 | 6 800 | 7 554 | 7 875 |
| –893 | –269 | +790 | +807 | +2 505 | –5 400 |
| 635 | 201 | 2 | –669 | –1 005 | 2 515 |
| 2 647 | 4 088 | 7 073 | 6 938 | 9 054 | 4 990 |
| –58 | +155 | –2 351 | 0 | –3 784 | –6 985 |
| –951 | –114 | –1 561 | +807 | –1 279 | –12 385 |
| –951 | –114 | –2 653 | –2 010 | –5 560 | –14 400 |

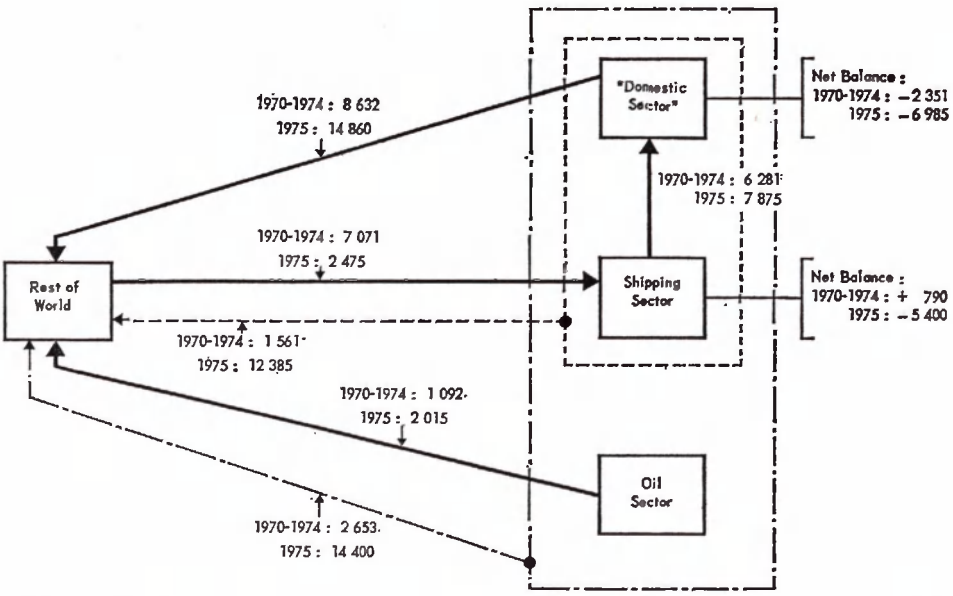
rising at a faster rate than the total world fleet, investments in ships accounted for more than 20 per cent of total gross fixed capital formation (Diagram 3) and Norway's share in the contracted total order stock was in most years about twice as high as its share in the world fleet. Since the late 1960s, however, investment activity has fallen considerably. In 1975 investment in ships (net of sales of used ships) accounted for less than 10 per cent of total fixed capital formation, while the share in the contracted total order stock had fallen to around 10 per cent. Hence, despite a gradually rising capital intensity in the shipping sector (see below), its share in the total capital stock has declined[2].

During the 1946-1973 period some 75 per cent of newly delivered ships operating on the international freight market were built by foreign shipyards. 60 per cent of total investments —including some purchases of used ships—were financed out of current and past profits, while proceeds from exports of used ships covered some 25 per cent. Only 11 per cent was financed through net borrowing—almost entirely from foreign banks—but due to large advance payments on new ships, gross borrowing is considerably higher. Thus by the end of 1972, net indebtedness corresponded to about one-third of the value of the fleet, while gross debt (at Kr. 16.3 billion) was equivalent to about 50 per cent.

As noted above, the importance of the shipping sector is particularly great in the context of the balance of payments. Almost 90 per cent of total sector output is exported. Adjusted for current expenditures abroad, freight earnings correspond to some 60 per cent of total sector output, one of the highest export shares in Member countries. Due to the instability of freight rates, both gross and net freight earnings exhibit considerable year-to-year fluctuations (Part II). The net balance of payments contribution shows even more violent swings as it also reflects fluctuations in purchases of new ships and exports of used ships. However, as a result of the relative decline in shipping investment, the balance of payments contribution has tended to increase in relation to net freight earnings. This development is particularly evident if the shipping sector is considered as a separate sector, which trades with the rest of the world as well as with the " domestic " Nor-

*Annex Diagram 4* **External Payments by Sector**

Kr. million, current prices




NOTE The flows (arrows) indicate net payments. Flows between oil sector and respectively the shipping sector and the " domestic sector " are excluded due to the lack of data. Figures given for 1970-1974 are annual averages. Figures for 1975 are preliminary.

*Source:* National Budget for 1976 and earlier years.

2 In terms of real capital invested in private firms, the share of the shipping sector has declined from 15 per cent in 1967 to 12 per cent by the end of 1973.

wegian economy (Diagram 4). Seen in this perspective, the external balance of the shipping sector can be calculated as net exchange earnings from the rest of the world less purchases in Norway. This balance has gradually improved over the last 10-15 years (Table 1) as the rise in net freight earnings has exceeded the increase in net imports of ships and purchases of other goods and services in Norway. Indeed, for the first time during the period for which data are available, the external balance for the shipping sector showed a surplus in 1973, and for 1974 this surplus attained as much as Kr. 2½ billion. The basic balance—i.e. the current external account adjusted for net long-term capital transactions—has also shown a gradual improvement and produced a rather substantial surplus in the 1970-1974 period.

In summary, the development of the shipping sector during the post-war period has been passing through two different stages. Until the late 1960s investments in ships were at a very high level, and employment as well as the number of ships was rising (Diagram 2). Furthermore, tonnage available grew at a higher rate than that of the total world fleet, and the shipping sector's share of total Norwegian output (in constant prices) was rising[3]. Since 1968-69 the number of ships and especially employment, has declined; the overall tonnage has continued to grow, but at a lower rate than the total world fleet. Moreover, the share of GDP has stagnated or even fallen in both current and constant prices. The implied shift towards a more capital-intensive production—in terms of tonnage per man as well as per ship—is no doubt influenced by the strong rise in wage costs[4] and has been accompanied by a gradual rise in the share in the fleet of tankers and dry bulk ships. Together with the decline in the average length of long-term contracts and the number of ships on such contracts, this development has probably increased the sensitivity of the Norwegian shipping sector to cyclical changes in the international freight market, as illustrated both by the record high earnings in 1973-74 and the slump in 1975.

3 In terms of GDP in current prices, the share of output in the shipping sector has tended to decline (Diagram 3), mainly because the average price for shipping services has increased at a markedly lower rate than the overall GDP deflator.

4 Despite the stagnation and subsequent decline in employment, the total wage bill for the shipping sector increased at an annual rate of 8.7 per cent during the period 1962-73. Total wage costs increased even faster, as social security payments and other supplementary wage payments advanced at an annual rate of 13.2 per cent. During the same period, average annual wage income in the shipping sector has risen to more than twice the level recorded for other exposed sectors.

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*Annex II*

# CHRONOLOGY OF MAIN ECONOMIC POLICY EVENTS

## 1975

*January*

Supplementary reserve requirements for commercial banks (in force since July 31, 1974) abolished.

Abolition of deposit scheme for large corporate firms. According to the scheme, 15 per cent of profits above Kr. 1 million were to be deposited with the Central Bank as from 1st January, 1975.

*February*

The reserve requirements for commercial banks in Southern Norway reduced by 2 percentage points.

Immigration stopped for one year as from 1st February.

*April*

The reserve requirements for commercial banks in Southern Norway reduced by 1 percentage point.

*May*

The Revised National Budget for 1975 submitted to the Parliament, indicating weaker export demand and a corresponding deterioration in the external position. To mitigate the effects on domestic activity of the international recession, the Budget proposed an increase in the target for total credit supply in 1975, by Kr. 4.5 billion and selective fiscal and monetary measures totalling Kr. 200 million.

Reduction in real property taxation and changes in the rules for tax-free bank saving, affecting taxable income in 1975.

Obligatory holdings of bonds for commercial and savings banks lowered to 23 per cent of total resources.

*June*

Primary reserve requirements abolished for small commercial banks (less than Kr. 1 billion in assets) and reduced by one percentage point for large banks in Southern Norway.

Primary reserve requirements abolished for all banks as from June 20.

Release of the remainder of the tax-free investment funds collected in 1971 and 1972.

*July*

Deposit rates increased by ½ percentage point to 4 per cent for deposits on three months and 6 per cent for deposits on twelve months notice. The interest rate on overdrafts increased by ½ percentage point to 7 per cent.

*August*

Introduction of State Foreign Exchange Cover Scheme as a supplement to the forward exchange market for long-term export contracts. The scheme is operated in accordance with insurance principles and intended to be self-financed. The premiums will vary according to the calculated risks as well as the duration of the cover. As a rule, the exporter bears the risks for exchange rate movements up to 3 per cent in relation to the exchange rate guaranteed. Depreciation losses greater than 3 per cent are covered by a Guarantee Institute, while appreciation gains in excess of 3 per cent shall be paid to the Institute. The cover commitment per contract is not allowed to exceed 35 per cent of the amount of the contract.

*September*

The Government proposes a number of expansionary measures, of which the most important are (*i*) extraordinary appropriation for public works projects on State and local levels (Kr. 300

million); (*ii*) increase in the State banks' loan commitment budgets for 1975 (Kr. 682 million) and advancement of 10 per cent of next year's lending quotas to 1975; (*iii*) additional liquidity loans to industry (Kr. 150 million); (*iv*) scheme for supporting stockbuilding, according to which subsidies can amount to 75 per cent of the interest costs arising from loans for stock financing in the period July 1, 1975-July 1, 1976.

Tripartite settlement reached to compensate for the price increases from November 15, 1974 to September 15, 1975. According to the agreement:

— 30 per cent of the compensation is given in the form of pay increases stipulated as an absolute amount;
— withholding taxes are reduced by 1 percentage point in the period November 1, 1975-May 1, 1976;
— child allowances are increased by 13 per cent as from November 1, 1975;
— price rises in the agricultural sector are offset by subsidies until June 1, 1976;
— a price freeze is enforced from September 1, 1975 to the end of the year and costs caused by the index settlement are not allowed to be shifted into prices.

*October*

The National Budget for 1976 submitted to the Parliament stressing the need for an expansionary policy in the beginning of the year. Apart from some acceleration in the rate of expenditure increases, the Budget proposes a reduction in direct taxes as from January 1, while indirect taxes on alcohol and tobacco are to be increased.

The credit supply target for 1975 increased by Kr. 4.7 billion in relation to the Revised National Budget. The target for 1976 entails a reduction in the overall credit supply due to an expected sharp decline in the inflow of foreign credits.

The discount rate reduced by ½ percentage point to 5 per cent as from 6th October.

Changes in the proposed stock-financing scheme. According to the new proposal, the level of stocks by 31st March, 1975 is to be taken as a starting point and the subsidies are determined as a percentage of the increase in stocks regardless of the financing form but subject to the condition that employment is not reduced. The subsidies will amount to 3.5 per cent of the increase in stocks until 31st March, 1976, and if the level of employment is not reduced before July 1, 1976, 5.5 per cent of the increase in stocks will be covered by subsidies.

The Government proposes establishment of a temporary guarantee arrangement for the shipping sector. According to the proposal all shipowners can participate if they are willing to assume a guarantee liability towards the other participants and can provide a bank guarantee or other appropriate collateral. The Government will contribute an amount equal to that of all other participants combined but initially limited to Kr. 2 billion. The arrangement will be administered by a Temporary Guarantee Institute, which may issue guarantees for loans on ships and drilling rigs which have been or will be delivered before 1st July, 1976 (in special cases before 31st December, 1976). The guarantees may be for loans to cover:

(*i*) interest payments on loans already raised if amortisation payments are reduced by a corresponding amount;
(*ii*) contracts entered or converted;
(*iii*) cancellation fees and lay-up costs.

For (*i*) and (*iii*) the guarantees granted to an individual shipping company are limited to five times the company's own guarantee commitment, while for (*ii*) the maximum will be ten times the company's own commitment, depending, however, on the collateral provided.

*November*

The Government proposes a six months extension of the ban on immigration introduced in February.

Parliament passes the proposed temporary guarantee scheme for the shipping sector with a general extension of the delivery period to end 1976.

# *STATISTICAL ANNEX*

Table A **Supply and Use of Resources**
Kr. million, current prices

| | 1966 | 1967 | 1968 | 1968 | 1969 | 1970 | 1971 (New SNA) | 1972 | 1973 | 1974 |
|---|---|---|---|---|---|---|---|---|---|---|
| Consumers' expenditure on goods and services | 31 128 | 34 017 | 36 533 | 35 502 | 39 324 | 43 814 | 48 844 | 53 797 | 59 557 | 67 294 |
| General government current expenditure on goods and services | 7 801 | 8 881 | 9 763 | 9 931 | 10 952 | 12 252 | 14 371 | 15 955 | 18 060 | 21 186 |
| Defence | 1 898 | 2 075 | 2 267 | 2 352 | 2 550 | 2 821 | 3 035 | 3 215 | 3 497 | 3 917 |
| Civil | 5 903 | 6 806 | 7 496 | 7 579 | 8 402 | 9 431 | 11 336 | 12 740 | 14 563 | 17 269 |
| Gross fixed asset formation | 21 490 | 24 218 | 24 144 | 17 283 | 17 062 | 21 378 | 26 778 | 27 628 | 33 564 | 41 285 |
| Change in stocks | 972 | 623 | –156 | –200 | 599 | 3 278 | 2 007 | 126 | 655 | 2 292 |
| NATIONAL EXPENDITURE | 61 391 | 67 739 | 70 284 | 62 516 | 67 937 | 80 722 | 92 000 | 97 506 | 111 836 | 132 057 |
| Exports of goods and services (non-factor) | 22 385 | 25 132 | 27 679 | 27 490 | 29 368 | 33 403 | 35 808 | 40 055 | 48 718 | 61 405 |
| Imports of goods and services (non-factor) | 22 933 | 25 969 | 26 031 | 26 208 | 27 858 | 34 431 | 38 742 | 39 290 | 49 268 | 64 700 |
| GROSS DOMESTIC PRODUCT IN PURCHASERS' VALUES | 60 843 | 66 902 | 71 932 | 63 798 | 69 447 | 79 694 | 89 066 | 98 271 | 111 286 | 128 762 |
| Indirect taxes | 7 883 | 8 644 | 9 148 | 9 172 | 10 785 | 14 524 | 16 502 | 18 161 | 20 173 | 22 411 |
| Subsidies | 2 394 | 2 604 | 2 862 | 2 855 | 3 295 | 4 269 | 4 760 | 5 352 | 6 087 | 7 662 |
| GROSS DOMESTIC PRODUCT AT FACTOR COST | 55 354 | 60 862 | 65 646 | 57 481 | 61 957 | 69 439 | 77 324 | 85 462 | 97 200 | 114 013 |
| Depreciation and other operating provisions | 12 367 | 13 542 | 14 889 | 8 858 | 9 572 | 11 044 | 12 406 | 13 509 | 15 158 | 18 472 |
| NET DOMESTIC PRODUCT AT FACTOR COST | 42 987 | 47 320 | 50 757 | 48 623 | 52 385 | 58 395 | 64 918 | 71 953 | 82 042 | 95 541 |

*Source:* Norwegian National Accounts.

Table B **Supply and Use of Resources**
Kr. million, 1970 prices

| | 1968 | 1969 | 1970 | 1971 (New SNA) | 1972 | 1973 | 1974 |
|---|---|---|---|---|---|---|---|
| Consumers' expenditure on goods and services | .. | .. | 43 814 | 45 806 | 47 348 | 48 634 | 50 189 |
| General government current expenditure on goods and services | .. | .. | 12 252 | 12 955 | 13 459 | 14 070 | 14 626 |
| Defence | .. | .. | 2 821 | 2 752 | 2 775 | 2 770 | 2 704 |
| Civil | .. | .. | 9 431 | 10 203 | 10 684 | 11 300 | 11 922 |
| Gross fixed asset formation | .. | .. | 21 378 | 25 400 | 24 423 | 28 148 | 30 101 |
| Change in stocks | .. | .. | 3 278 | 2 054 | 156 | 146 | 1 239 |
| NATIONAL EXPENDITURE | .. | .. | 80 722 | 86 215 | 85 386 | 90 998 | 96 155 |
| Exports of goods and services (non-factor) | .. | .. | 33 403 | 33 768 | 38 334 | 41 548 | 41 757 |
| Imports of goods and services (non-factor) | .. | .. | 34 431 | 36 641 | 36 270 | 41 476 | 43 459 |
| GROSS DOMESTIC PRODUCT IN PURCHASERS' VALUES | .. | .. | 79 694 | 83 342 | 87 450 | 91 070 | 94 453 |
| Depreciation and other operating provisions | .. | .. | 11 044 | 11 777 | 12 146 | 12 807 | 13 654 |
| NET DOMESTIC PRODUCT AT MARKET PRICES | .. | .. | 68 650 | 71 565 | 75 304 | 78 263 | 80 799 |

*Source:* Norwegian National Accounts.

Table C **Gross Domestic Product by Industry of Origin**
Kr. million, current prices

| | 1968 | 1969 | 1970 | 1971 (New SNA) | 1972 | 1973 | 1974 |
|---|---|---|---|---|---|---|---|
| Agriculture, forestry and fishing | 4 060 | 4 037 | 5 202 | 5 882 | 5 850 | 6 484 | 7 193 |
| Mining and quarrying, incl. oil exploitation<br>Manufacturing<br>Electricity, gas and water | 15 685 | 17 634 | 20 557 | 22 564 | 25 438 | 28 798 | 34 413 |
| Construction, incl. oil drilling | 5 111 | 5 738 | 6 540 | 7 384 | 7 994 | 8 752 | 10 392 |
| Maritime transport | 6 534 | 6 222 | 7 305 | 7 624 | 7 892 | 9 649 | 10 822 |
| Other transport and communications[1] | 3 962 | 4 389 | 5 221 | 5 772 | 6 632 | 7 244 | 8 235 |
| Wholesale and retail trade | 12 556 | 14 149 | 14 773 | 16 589 | 18 233 | 20 620 | 23 602 |
| Banking and insurance<br>Ownership of dwellings and business buildings<br>Restaurants and hotels<br>Commercial buildings | 6 666 | 7 049 | 8 654 | 9 770 | 10 881 | 12 414 | 14 356 |
| Community, social and personal services | 10 493 | 11 693 | 13 151 | 15 496 | 17 667 | 20 083 | 22 953 |
| *less:* Imputed bank service change | 1 269 | 1 464 | 1 709 | 2 015 | 2 316 | 2 758 | 3 204 |
| GROSS DOMESTIC PRODUCT IN PURCHASERS' VALUES | 63 798 | 69 447 | 79 694 | 89 066 | 98 271 | 111 286 | 128 762 |

1 Including pipeline transportation of oil.
*Source:* Norwegian National Accounts.

Table D **Gross Domestic Product by Industry of Origin**

Kr. million, 1970 prices

| | 1968 | 1969 | 1970 | 1971 (New SNA) | 1972 | 1973 | 1974 |
|---|---|---|---|---|---|---|---|
| Agriculture, forestry and fishing | .. | .. | 5 202 | 5 562 | 5 654 | 5 599 | 5 794 |
| Mining and quarrying, incl. oil exploitation<br>Manufacturing<br>Electricity, gas and water | .. | .. | 20 557 | 21 409 | 22 576 | 23 631 | 24 561 |
| Construction, incl. oil drilling | .. | .. | 6 540 | 6 832 | 6 931 | 7 227 | 7 794 |
| Maritime transport | .. | .. | 7 305 | 7 157 | 7 841 | 8 600 | 8 600 |
| Other transport and communications[1] | .. | .. | 5 221 | 5 486 | 5 744 | 5 842 | 6 262 |
| Wholesale and retail trade | .. | .. | 14 773 | 15 852 | 16 735 | 17 374 | 17 713 |
| Banking and insurance<br>Ownership of dwellings and business buildings<br>Restaurants and hotels<br>Commercial buildings | .. | .. | 8 654 | 8 935 | 9 126 | 9 326 | 9 761 |
| Community, social and personal services | .. | .. | 13 151 | 13 909 | 14 699 | 15 370 | 15 949 |
| *less:* Imputed bank service change | .. | .. | 1 709 | 1 800 | 1 856 | 1 899 | 1 981 |
| GROSS DOMESTIC PRODUCT IN PURCHASERS' VALUES | .. | .. | 79 694 | 83 342 | 87 450 | 91 070 | 94 453 |

1 Including pipeline transportation of oil.

*Source:* Norwegian National Accounts.

Table E **General Government Income and Expenditure**[1]

Kr. million

| | 1966 | 1967 | 1968 | 1968 | 1969 | 1970 | 1971 (New SNA) | 1972 | 1973 | 1974 |
|---|---|---|---|---|---|---|---|---|---|---|
| CURRENT REVENUE | 21 517 | 24 639 | 27 009 | 25 969 | 29 790 | 34 528 | 41 370 | 47 746 | 55 371 | 62 501 |
| Indirect taxes | 8 443 | 9 248 | 9 840 | 9 172 | 10 785 | 14 524 | 16 502 | 18 161 | 20 173 | 22 411 |
| Social security contributions | 4 000 | 5 136 | 5 901 | 6 047 | 6 708 | 7 572 | 10 132 | 12 456 | 15 347 | 17 032 |
| Other direct taxes | 7 389 | 8 342 | 9 051 | 9 410 | 10 655 | 10 566 | 12 775 | 14 896 | 17 328 | 19 957 |
| Income from property and entrepreneurship | 883 | 960 | 1 170 | 1 323 | 1 623 | 1 846 | 1 938 | 2 202 | 2 484 | 3 058 |
| Other current transfers | 802 | 953 | 1 047 | 17 | 19 | 20 | 23 | 31 | 39 | 43 |
| CURRENT EXPENDITURE | 17 802 | 20 187 | 22 655 | 21 404 | 24 161 | 29 423 | 34 694 | 39 256 | 45 053 | 52 682 |
| Purchase of goods and services: | 9 060 | 10 327 | 11 388 | 9 931 | 10 952 | 12 252 | 14 371 | 15 955 | 18 060 | 21 186 |
| Defence | 1 898 | 2 075 | 2 267 | 2 352 | 2 550 | 2 821 | 3 035 | 3 215 | 3 497 | 3 917 |
| Civil | 7 162 | 8 252 | 9 121 | 7 579 | 8 402 | 9 431 | 11 336 | 12 740 | 14 563 | 17 269 |
| Subsidies | 2 492 | 2 655 | 2 917 | 2 855 | 3 295 | 4 269 | 4 760 | 5 352 | 6 087 | 7 662 |
| Interest on the public debt | 667 | 724 | 827 | 1 092 | 1 218 | 1 430 | 1 684 | 1 923 | 2 255 | 2 638 |
| Current transfers: | 5 583 | 6 481 | 7 523 | 7 526 | 8 696 | 11 472 | 13 879 | 16 026 | 18 651 | 21 196 |
| To households, etc. | 5 469 | 6 374 | 7 357 | 7 360 | 8 474 | 11 173 | 13 606 | 15 642 | 18 201 | 20 528 |
| To the rest of the world | 114 | 107 | 166 | 166 | 222 | 299 | 273 | 384 | 450 | 668 |
| NET CURRENT SAVING | 3 715 | 4 452 | 4 354 | 4 565 | 5 629 | 5 105 | 6 676 | 8 490 | 10 318 | 9 819 |
| Depreciation and other operating provisions | 286 | 343 | 389 | 419 | 470 | 570 | 667 | 760 | 820 | 998 |
| GROSS SAVING | 4 001 | 4 795 | 4 743 | 4 984 | 6 099 | 5 675 | 7 343 | 9 250 | 11 138 | 10 817 |
| Gross fixed asset formation[2] | 2 277 | 2 727 | 2 866 | 2 855 | 3 396 | 3 578 | 4 207 | 5 014 | 5 315 | 6 307 |
| SURPLUS ON CURRENT AND FIXED INVESTMENT ACCOUNT (FINANCIAL SAVING) | 1 724 | 2 068 | 1 877 | — | — | — | — | — | — | — |
| Capital transfers to other sectors, net | 91 | 144 | 168 | — | — | — | — | — | — | — |
| Net lending, etc. | 1 633 | 1 924 | 1 709 | 2 129 | 2 703 | 2 097 | 3 136 | 4 236 | 5 823 | 4 510 |

1 According to the OECD definition.
2 For new SNA net purchases of land included.
*Source:* Norwegian submission to the OECD.

## Table F Balance of Payments
Kr. million

| | 1966 | 1967 | 1968 | 1969 | 1970 | 1971 | 1972 | 1973 | 1974 |
|---|---|---|---|---|---|---|---|---|---|
| Exports of goods, fob | 10 420 | 10 993 | 11 969 | 13 618 | 15 536 | 16 319 | 18 235 | 22 206 | 28 782 |
| Imports of goods, cif | –14 954 | –16 183 | –16 924 | –19 696 | –23 673 | –25 347 | –25 761 | –31 419 | –43 567 |
| TRADE BALANCE[1] | –4 534 | –5 190 | –4 955 | –6 078 | –8 137 | –9 028 | –7 526 | –9 213 | –14 785 |
| Exports of new ships | 208 | 529 | 534 | 403 | 810 | 1 060 | 1 316 | 1 381 | 2 008 |
| Services other than shipping services, net | 102 | 82 | 68 | 341 | 118 | –292 | –424 | –888 | –1 277 |
| Interest and transfer payments, net (excl. shipping) | –160 | –161 | –104 | –235 | –418 | –301 | –582 | –738 | –1 386 |
| CURRENT BALANCE (excl. shipping) | –4 384 | –4 740 | –4 457 | –5 569 | –7 627 | –8 561 | –7 216 | –9 458 | –15 440 |
| Net freight earnings | 5 160 | 6 205 | 6 930 | 6 615 | 7 790 | 8 295 | 8 635 | 10 255 | 11 645 |
| Exports of second-hand ships | 639 | 993 | 1 431 | 1 916 | 1 369 | 802 | 2 242 | 3 799 | 4 072 |
| Imports of ships | –2 403 | –3 724 | –2 726 | –1 687 | –2 978 | –3 771 | –3 478 | –5 884 | –4 958 |
| Interest and transfer payments, net (shipping) | –407 | –471 | –514 | –364 | –282 | –448 | –570 | –722 | –879 |
| SHIPPING SECTOR, net | 2 989 | 3 003 | 5 121 | 6 480 | 5 899 | 4 878 | 6 829 | 7 448 | 9 880 |
| CURRENT BALANCE | –1 395 | –1 737 | 664 | 911 | –1 728 | –3 683 | –387 | –2 010 | –5 560 |
| Public borrowing, net | –54 | 130 | 6 | 50 | 96 | 39 | 150 | 29 | 103 |
| Shipping sector borrowing, net[2] | 556 | 1 628 | 407 | –992 | 197 | 1 292 | –29 | 1 570 | 157 |
| Other long-term borrowing, net | 496 | 677 | –216 | 849 | 1 162 | 1 716 | 2 428 | 4 221 | 4 827 |
| Direct investment, net | 267 | 508 | 345 | 191 | 222 | 434 | 799 | 933 | 1 101 |
| Net lending to abroad | –79 | –273 | –363 | –314 | –55 | –101 | –179 | –299 | –290 |
| Other long-term capital outflow, net | –174 | –307 | 161 | –685 | –646 | –923 | –1 223 | –1 495 | –527 |
| BASIC BALANCE | –393 | 626 | 1 005 | 10 | –752 | –1 226 | 1 559 | 2 949 | –189 |
| SDR allocations | — | — | — | — | 180 | 184 | 184 | — | — |
| Other capital inflow, net[3] | 265 | 816 | 579 | 53 | 1 197 | 293 | –565 | –752 | 98 |
| Changes in foreign exchange reserves | –118 | 1 442 | 1 584 | 63 | 625 | –749 | 1 178 | 2 197 | –91 |

1 Excl. ships.
2 Incl. borrowing by financial institutions on behalf of the shipping sector, and advance payments for ship imports.
3 Incl. short-term capital transactions, errors and omissions, changes in foreign debt and exchange position not caused by transactions.

*Sources:* Norwegian Monthly Bulletin of Statistics and National Budget for 1976.

Table G **Labour Market and Employment**

| | Labour market | | Employment | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Registered unemployment | Jobs vacant[1] | 1 000 man-years[2] | | Employees (1 000 persons)[3] | | | | | | | |
| | 1 000 persons | Thousands | Self employed | Employees | Total | Agriculture, forestry, fishing | Mining and manufacturing | Building and construction | Commerce | Maritime transp., other transport and commun. | Public adm. | Other |
| 1966 | 11.9 | 7.6 | 359 | 1 168 | 1 118 | 31 | 367 | 102 | 157 | 136 | 43 | 282 |
| 1967 | 11.4 | 7.2 | 351 | 1 188 | 1 139 | 30 | 371 | 107 | 161 | 136 | 44 | 290 |
| 1968 | 16.5 | 5.1 | 305 | 1 218 | 1 152 | 28 | 370 | 105 | 166 | 135 | 45 | 303 |
| 1969 | 15.6 | 5.9 | 294 | 1 234 | 1 173 | 26 | 374 | 108 | 170 | 133 | 47 | 315 |
| 1970 | 12.5 | 9.6 | 281 | 1 266 | 1 207 | 25 | 386 | 111 | 176 | 131 | 49 | 329 |
| 1971 | 12.2 | 10.7 | 268 | 1 290 | .. | .. | .. | .. | .. | .. | .. | .. |
| 1972 | 14.8 | 8.5 | 254 | 1 311 | 1 649 | 202 | 401 | 145 | 230 | 162 | 78 | 431 |
| 1973 | 12.8 | 8.2 | 248 | 1 327 | 1 654 | 189 | 401 | 142 | 234 | 163 | 76 | 449 |
| 1974 | 10.7 | 9.9 | 239 | 1 349 | 1 659 | 175 | 402 | 147 | 242 | 163 | 71 | 459 |

1 Averages of number of unfilled vacancies at the end of the month.
2 From 1968 new system of national accounts.
3 The previous employment statistics were discontinued in 1970. Figures from 1972 represent Labour Market Survey estimates.

*Sources:* Norwegian National Accounts, Economic Surveys, Monthly Bulletin of Statistics.

Table H **Production by Sector**

| | Mining and manufacturing | | | | | | | |
|---|---|---|---|---|---|---|---|---|
| | Industrial production[1], 1970 = 100 | | | | | | | |
| | Total | By sector of production | | By destination | | | | |
| | | Mining | Manufacturing | Exports | Consumption | Investment | Input in building and construction | Other input |
| 1967 | 89 | 83 | 89 | 87 | 94 | 91 | 84 | 90 |
| 1968 | 92 | 86 | 91 | 91 | 96 | 89 | 86 | 93 |
| 1969 | 96 | 96 | 96 | 97 | 99 | 93 | 94 | 96 |
| 1970 | 100 | 100 | 100 | 100 | 100 | 100 | 100 | 100 |
| 1971 | 104 | 111 | 104 | 102 | 102 | 106 | 107 | 104 |
| 1972 | 109 | 133 | 107 | 105 | 105 | 110 | 113 | 108 |
| 1973 | 115 | 130 | 113 | 113 | 108 | 116 | 122 | 113 |
| 1974 | 119 | 131 | 117 | 117 | 110 | 124 | 129 | 116 |

1 Averages of monthly figures.

*Source:* Norwegian Monthly Bulletin of Statistics.

Table I **Foreign Trade, Total and by Area**
$ million, monthly rates

| | Imports, cif | | | | | | | Exports, fob | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Total | OECD countries | | | Non-OECD countries | | | Total | OECD countries | | | Non-OECD countries | | |
| | | Total | Europe | | Sino-Soviet area | Other developed countries | Developing countries | | Total | Europe | | Sino-Soviet area | Other developed countries | Developing countries |
| | | | EEC | Others | | | | | | EEC | Others | | | |
| 1966 | 200.3 | 176.0 | 94.9 | 47.9 | 6.3 | 0.5 | 17.4 | 130.3 | 111.9 | 65.8 | 31.1 | 4.5 | 0.9 | 13.0 |
| 1967 | 229.0 | 202.6 | 104.4 | 56.6 | 7.3 | 0.4 | 18.7 | 144.8 | 123.2 | 73.5 | 34.2 | 4.7 | 0.9 | 15.9 |
| 1968 | 225.5 | 196.3 | 98.9 | 56.4 | 6.9 | 0.6 | 21.7 | 161.5 | 135.4 | 80.8 | 37.7 | 4.9 | 0.7 | 20.4 |
| 1969 | 245.2 | 214.4 | 114.9 | 62.2 | 6.4 | 0.7 | 23.7 | 183.6 | 157.0 | 92.2 | 48.0 | 5.2 | 1.1 | 20.3 |
| 1970 | 308.1 | 269.4 | 134.1 | 83.6 | 7.4 | 0.7 | 30.6 | 204.6 | 179.4 | 112.7 | 51.3 | 6.0 | 1.3 | 17.9 |
| 1971 | 340.8 | 289.3 | 146.6 | 89.2 | 14.2 | 0.9 | 36.4 | 213.7 | 189.5 | 115.5 | 54.3 | 6.0 | 1.3 | 16.9 |
| 1972 | 364.4 | 317.4 | 163.7 | 97.1 | 11.8 | 1.5 | 33.6 | 273.4 | 234.1 | 137.2 | 70.9 | 10.1 | 1.0 | 28.2 |
| 1973 | 518.2 | 451.6 | 234.2 | 128.1 | 15.6 | 2.5 | 48.6 | 390.0 | 318.9 | 184.7 | 101.6 | 13.7 | 1.5 | 55.9 |
| 1974 | 703.1 | 598.3 | 294.3 | 179.8 | 19.7 | 2.7 | 82.4 | 524.3 | 430.2 | 246.4 | 142.4 | 22.1 | 4.1 | 68.0 |

*Source:* OECD Foreign Trade Statistics, Series A.

## Table J Prices and Wages

| | Consumer prices[1], 1968 = 100 | | | Wholesale prices, 1961 = 100 | | | | Average hourly earnings Kroner | |
|---|---|---|---|---|---|---|---|---|---|
| | | *of which:* | | | | | | Industry | |
| | Total | Food | Rent, heating and light | Total | Consumer goods | Investment goods | Input | Males | Females |
| 1966 | 92.5 | 93 | 92 | 112 | 113 | 107 | 112 | 9.64 | 7.04 |
| 1967 | 96.6 | 97 | 96 | 114 | 117 | 109 | 113 | 10.37 | 7.70 |
| 1968 | 100.0 | 100 | 100 | 115 | 119 | 110 | 114 | 11.21 | 8.38 |
| 1969 | 103.1 | 104 | 103 | 119 | 122 | 111 | 118 | 12.28 | 9.19 |
| 1970 | 114.0 | 117 | 115 | 127 | 129 | 117 | 127 | 13.75 | 10.32 |
| 1971 | 121.1 | 125 | 122 | 133 | 136 | 123 | 134 | 15.45 | 11.65 |
| 1972 | 129.8 | 133 | 129 | 137 | 144 | 129 | 136 | 16.82 | 12.82 |
| 1973 | 139.5 | 143 | 138 | 148 | 154 | 135 | 147 | 18.61 | 14.18 |
| 1974 | 152.6 | 155 | 154 | 175 | 171 | 147 | 183 | 21.83 | 16.75 |

1 Index affected by the increase in indirect taxes in January 1970.

*Source:* Norwegian Monthly Bulletin of Statistics.

Table K **Money and Credit** (*contd. on following page*)

Kr. million

| | Liquidity supply | | | Money supply (IMF def.)[1] | | Quasi-money (savings deposits) | Treasury deposits with Central Bank | Domestic lending by financial institutions | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | Total | Due to trans. by | | Orig. | Adj. | | | Total[2] | Central Bank | Commercial banks | Savings banks | State banks | Insurance companies | Mortgage credit institutions | Private financial institutions | Postal savings banks |
| | | Central Govt. | Central Bank | Kr. 1 000 million | | | | | | | | | | | | |
| | During period | | | End of period | | | | | | | | | | | | |
| 1966 | 398 | –280 | 678 | 11.42 | 10.62 | 18.43 | 1 069 | 39 816 | 202 | 10 530 | 8 316 | 10 958 | 4 361 | 3 405 | 1 087 | 468 |
| 1967 | 318 | –985 | 1 303 | 12.26 | 11.40 | 20.52 | 1 676 | 43 232 | 283 | 11 305 | 9 120 | 12 016 | 4 673 | 3 707 | 1 172 | 493 |
| 1968 | 424 | 92 | 332 | 14.12 | 13.10 | 22.64 | 1 061 | 47 680 | 163 | 12 166 | 10 046 | 13 783 | 4 997 | 4 060 | 1 386 | 523 |
| 1969 | 120 | –243 | 363 | 15.27 | 14.17 | 25.32 | 1 170 | 53 827 | 329 | 13 842 | 11 352 | 15 600 | 5 550 | 4 550 | 1 663 | 559 |
| 1970 | 737 | –173 | 910 | 17.20 | 15.96 | 29.50 | 1 455 | 60 536 | 126 | 15 108 | 12 620 | 17 967 | 6 067 | 5 404 | 2 332 | 583 |
| 1971 | 2 023 | –243 | 2 266 | 19.18 | 17.78 | 33.41 | 1 827 | 68 399 | 209 | 17 000 | 14 040 | 20 863 | 6 551 | 6 364 | 2 760 | 619 |
| 1972 | 1 099 | –1 347 | 2 446 | 22.30 | 20.69 | 37.04 | 2 859 | 77 251 | 1 008 | 19 323 | 15 570 | 24 407 | 7 094 | 7 156 | 3 057 | 660 |
| 1973 | 997 | –1 217 | 2 214 | 25.75 | 23.86 | 41.65 | 3 604 | 87 605 | 1 410 | 21 708 | 17 546 | 28 157 | 7 773 | 8 275 | 3 180 | 817 |
| 1974 | 545 | –1 215 | 1 760 | 28.81 | 26.70 | 46.16 | 3 433 | 98 880 | 2 065 | 24 282 | 19 837 | 31 870 | 8 621 | 9 449 | 3 410 | 981 |

1 Notes in circulation and demand deposits with the bankings system.
2 Breakdown does not add up total.

*Source:* Norwegian Monthly Bulletin of Statistics.

## Table K Money and Credit (*contd.*)

Kr. million

| | Domestic credit by borrowing sector | | | | | | | | The security market | | Gold and foreign exchange holdings | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | | | | | | | | Bond issues | | | *of which:* | |
| | Total | Agriculture, forestry, fishing and whaling | Mining and manuf. | Elec., gas and water works | Com-merce | Real estate and private persons | Shipping | Other industries | Domestic and foreign currency | Share issues | Total[1] | Official (incl. IMF pos.)[2] | Com-mercial banks and savings |
| | End of period | | | | | | | | During period | | $ mill. end of period | | |
| 1966 | 37 831 | 3 635 | 6 800 | 1 493 | 3 568 | 17 717 | 2 481 | 2 137 | 1 916 | 336 | 533 | 528 | –62 |
| 1967 | 40 867 | 3 868 | 7 438 | 1 459 | 3 860 | 19 593 | 2 435 | 2 214 | 2 738 | 493 | 735 | 677 | –42 |
| 1968 | 45 080 | 4 214 | 8 231 | 1 657 | 4 163 | 21 777 | 2 330 | 2 708 | 3 535 | 449 | 957 | 702 | 70 |
| 1969 | 50 678 | 5 625 | 9 294 | 1 619 | 4 767 | 23 802 | 2 419 | 3 152 | 3 502 | 459 | 966 | 712 | –11 |
| 1970 | 56 748 | 5 840 | 10 818 | 1 750 | 5 286 | 27 101 | 2 280 | 3 673 | 5 019 | 640 | 1 060 | 813 | 3 |
| 1971 | 62 353[3] | 6 174 | 12 126 | 507[3] | 5 830 | 31 235 | 2 391 | 4 090 | 4 640 | 726 | 1 042 | 1 154 | –177 |
| 1972 | 69 776 | 6 559 | 13 219 | 615 | 6 395 | 35 795 | 2 154 | 5 039 | 5 700 | 812 | 1 213 | 1 325 | –200 |
| 1973 | 78 853 | 6 987 | 14 174 | 675 | 7 186 | 41 734 | 2 568 | 5 529 | 7 318 | 1 696 | 1 805 | 1 575 | –168 |
| 1974 | 89 169 | 7 551 | 16 133 | 455 | 7 694 | 47 828 | 2 710 | 6 798 | 8 090 | 876 | 1 949 | 1 928 | –310 |

1 According to new definition adopted in January 1971.
2 Change in reporting at the beginning of 1964.
3 Break in the series.

*Sources:* Norwegian Monthly Bulletin of Statistics, Central Bank Economic Bulletin, International Financial Statistics and OECD Main Economic Indicators.

*INTERNATIONAL COMPARISONS*

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